The Cost of Rivalry: Geopolitical Fragmentation and Trade during the Cold War*

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Abstract

How costly is geopolitical fragmentation? We estimate the causal effect of political alignment on bilateral trade using the Cold War as a natural setting for geopolitical rivalry. We exploit coups d'état as abrupt political realignments, comparing successful coups both with countries experiencing no coup and with failed coup attempts. A one-unit increase in political distance reduces bilateral trade by approximately 15 percent in the medium run, equivalent to an ad valorem tariff of 3.1 percent on average and 11.5 percent for relationships involving the Cold War Superpowers. We show that foreign aid and sanctions respond to political realignment, but back-of-the-envelope calculations suggest that these formal policy channels account for only about 30 percent of the overall trade effect. A historical case study further shows that trade can respond in the absence of formal policy interventions. Embedding our estimates in a structural gravity model, we find that the Cold War created substantial welfare costs concentrated among Non-Aligned countries. Applying the same framework to the contemporary U.S.–China rivalry, we find that the economic costs of alignment are smaller today, but a substantial share of countries now have an economic incentive to defect to the rival bloc.

Keywords: International trade, geopolitical fragmentation, Cold War, trade costs, geoeconomics
JEL Codes: F14, F50, F51, N70

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1 Introduction

Geopolitical rivalry is reshaping the world economy. The United States has restricted economic ties with China, Europe has sharply reduced its engagement with Russia, and governments around the world face growing pressure to orient their economic relationships toward competing powers. Political relationships increasingly influence which countries trade with each other and on what terms (Gopinath et al., 2025). Rising tensions can therefore create a conflict between political and economic interests, as countries reconsider valuable economic relationships with political rivals. This raises a fundamental question: how much does political alignment affect international trade, and what are the resulting economic costs?

Answering this question is difficult for two reasons. First, reverse causality may arise because countries that trade extensively develop closer political relationships. Second, common economic or geopolitical shocks may jointly shape both trade and political alignment. To overcome these identification challenges, we exploit abrupt political realignments following coups during the Cold War. The Cold War divided the world into rival geopolitical spheres centered on the United States and the Soviet Union, while a large group of Non-Aligned countries navigated between them. Countries' positions within this international order, however, were far from fixed. A successful coup could replace a country's government within days and sharply shift its foreign policy orientation, moving it toward one Superpower and away from the other.

Crucially, such a shift changes the country's political relationship with different trading partners in opposite directions: a government moving toward Washington becomes simultaneously closer to some countries and more distant from others. We combine these partner-specific changes with a continuous measure of political alignment based on countries' voting behavior in the United Nations General Assembly and estimate their effects on bilateral trade in a structural gravity framework.

We employ two complementary identification strategies. Our first strategy compares successful coup episodes to countries that did not experience a coup, using the coup-induced change in political distance as a continuous treatment. This design identifies how the magnitude of political realignment affects trade and, importantly, delivers the elasticity that can be mapped directly into bilateral trade costs and welfare. The key identifying assumption is that, conditional on exporter-year, importer-year, and dyad-by-coup fixed effects, trading partners that experience larger versus smaller changes in political distance would otherwise have followed similar bilateral trade trajectories. For example, when a coup shifts a country's foreign policy toward the United States, its political distance shrinks toward the United States and its allies while growing toward the Soviet Union and its allies. Holding fixed anything common to that country's trade in the year of the coup, as well as anything common to each partner's own trade with the rest of the world, we ask whether trade grows by more with the partners it moved closer to, such as the United States, than with the partners it moved away from, such as the Soviet Union, in proportion to the size of each shift.

We find no evidence of differential pre-trends. Before a successful coup, trade does not evolve differently according to the direction or magnitude of the subsequent political shift. Following the

coup, however, trade systematically falls with partners from which the new government becomes more politically distant. The effect emerges gradually and persists over time. A one-unit increase in political distance reduces bilateral trade by roughly 15 percent in the medium run. To put this magnitude in context, a Non-Aligned country closing the gap to a typical NATO ally's level of alignment with the United States, a shift of roughly 1.5 ideal-point units, is associated with an increase in trade with the United States of approximately 25 percent. We further treat the post-Cold War period as an out-of-sample test of this relationship. Political realignments after 1990 show little comparable effect on trade, suggesting that our results reflect the particular bipolar structure of the Cold War rather than a general feature of political realignment on trade.

Our second strategy provides an additional test of the causal interpretation by conditioning directly on the occurrence of a coup attempt. We compare countries in which a coup attempt succeeds with countries in which an attempt fails. Both groups therefore experienced the same underlying political event, which is, a group attempted to seize power. What differs is whether the attempt actually produced a change in government and hence a change in political alignment. This comparison eliminates concerns that countries experiencing coup attempts differ systematically from countries that do not, and it also absorbs any anticipatory trade responses to the mere occurrence of a coup attempt, provided those responses are common to successful and failed attempts. Identification instead requires that, among coup attempts, whether the attempt succeeds is unrelated to the dyad-specific trade trends that would otherwise have occurred. In practice, coup success is close to a coin flip, 51.7 percent of attempts succeed, and depends on factors such as coordination among plotters, the loyalty of military units, timing, and luck, providing a natural source of variation for this comparison.

The success-versus-failure design delivers the same qualitative pattern as our main specification. Among coup attempts that would move a country closer to one side of the geopolitical divide, successful coups produce substantially larger changes in trade with partners on the opposite side than failed coups. For Bloc partners (NATO or Warsaw Pact members), the difference in trade between successful and failed coups is large, while no comparable pattern appears for Non-Aligned partners. Because the two strategies draw on different sources of variation, the size of the political shift in one case, whether the attempt succeeds in the other, their agreement is reassuring. The same confound is unlikely to bias both toward the same conclusion.

The estimated effect is economically meaningful. Translating our preferred coup-identified coefficient into an ad valorem tariff equivalent implies that a one-unit increase in political distance raises bilateral trade costs by approximately 3.1 percent on average. The effect is heterogeneous across dyads: the corresponding tariff equivalent is 3.8 percent for relationships involving at least one Bloc member and 11.5 percent for those involving a Superpower, compared with a smaller, only marginally significant 2.5 percent for relationships between Non-Aligned countries. The magnitude of our superpower-specific estimate also lines up with direct evidence on the trade effects of interstate war: Glick and Taylor (2010) find that trade between newly warring countries falls by roughly 83 percent during the conflict and remains about 42 percent below its counterfactual level five years

after the war ends, a similar order of magnitude to the 42 percent decline in trade we estimate per one-unit increase in political distance between a country and a superpower. Political distance therefore acts as a particularly important barrier to trade precisely where geopolitical rivalry is most consequential. The response also differs substantially across sectors. Using product-level bilateral trade data digitized from Soviet statistical yearbooks for the Soviet Union and the NBER-UN World Trade Flows data for the United States, we find that the adjustment is concentrated in machinery and transport equipment and primary goods on the Soviet side, and in chemicals and manufactures and, more weakly, machinery and transport equipment on the US side, with little detectable response in mineral fuels for either superpower. A finer product-level decomposition for the United States points to a common underlying pattern across several independent classifications of traded goods: the decline is smallest for standardized, commodity-like goods and largest for goods that depend on durable relationships or sophisticated production, consistent with trust and relationship-specificity being part of the channel.

We next examine the mechanisms through which political realignment affects trade. We first consider foreign aid and sanctions, two prominent instruments of foreign economic policy during the Cold War. To study the former, we combine data on U.S. assistance with newly digitized data on Soviet aid to developing countries. Countries that become more politically distant receive less foreign assistance and are more likely to face new economic sanctions. The quantitative importance of these channels differs sharply, however. A back-of-the-envelope calculation suggests that changes in foreign aid could account for roughly 30 percent of the overall trade response, whereas formal trade sanctions account for less than 1 percent.

Since a substantial share of the effect remains unexplained by either instrument, we conduct a complementary case study. That is, we examine the deterioration in U.S.–Turkish relations following the 1964 Johnson Letter, in which President Lyndon Johnson warned Turkey that NATO might not defend it against Soviet retaliation if it proceeded with a planned military intervention in Cyprus. The episode was not accompanied by sanctions, changes in aid, or other formal trade restrictions, yet U.S.–Turkey trade subsequently diverged substantially from its synthetic counterfactual. While suggestive, this evidence indicates that political estrangement can affect trade even in the absence of observable policy interventions.

Finally, we quantify the welfare consequences of these trade costs. We embed the estimated relationship between political distance and bilateral trade in a structural gravity model and conduct general-equilibrium counterfactuals. We first ask what real incomes would have been during the Cold War if geopolitical alignment had not affected bilateral trade costs. The costs were substantial and unevenly distributed across countries. Non-Aligned countries bore the largest burden, reflecting in particular the economic cost of political distance from the large Western market. For Eastern-bloc countries, the Iron Curtain accounts for most of the welfare loss, whereas for Western countries the bulk of the costs arise from political frictions even within the Western bloc itself.

The structural framework also allows us to ask whether countries' geopolitical allegiances coincided with their economic interests. For each country, we compare the welfare consequences of full

alignment with the United States and with the Soviet Union. During the Cold War, political and economic incentives were closely aligned for members of the two formal blocs, while the strongest tension between political positioning and material interest was concentrated in the Non-Aligned world. Using modern data, we then apply the same framework to the contemporary U.S.–China rivalry. The economic stakes of choosing between rival powers are smaller today than during the Cold War because economic ties across geopolitical blocs remain much deeper. Yet political and economic incentives are less consistently aligned: several countries currently aligned with one bloc would gain economically from closer alignment with the other.

Taken together, this paper makes four contributions. First, we provide causal evidence that geopolitical alignment affects international trade. By exploiting abrupt political realignments generated by coups, we move beyond the cross-sectional correlation between political proximity and economic exchange. Second, we show that the effects of geopolitical alignment are highly heterogeneous and shed light on the channels through which they operate. Third, we quantify the welfare consequences of geopolitical fragmentation, both as an aggregate feature of the Cold War and as a source of tension between countries' political allegiances and their economic interests. Fourth, we construct three new datasets for studying Cold War political economy: digitized product-level Soviet trade flows, digitized Soviet foreign aid commitments from declassified CIA files, and an LLM-based classification of superpower backing across the full universe of Cold War coup attempts.

This paper contributes to three main strands of literature: work on the relationship between politics and international trade, research on the economic consequences of geopolitical fragmentation, and the emerging literature on geoeconomics and economic statecraft.

Politics and International Trade. A substantial literature studies the two-way relationship between international trade and political relations. One direction asks how economic integration shapes political alignment and conflict. Martin et al. (2008) show that the conventional view that trade promotes peace depends critically on the structure of trade relationships, while Kleinman et al. (2024) provide causal evidence that greater economic dependence on a trading partner induces countries to realign politically toward that partner.

Our paper focuses on the reverse direction, how political relations affect trade. Early work documents that countries trade more with political allies and less with adversaries (Pollins, 1989; Dixon and Moon, 1993), while Maggi and Rodriguez-Clare (2007) develop a theoretical framework in which trade agreements serve foreign-policy objectives. More recent empirical work provides evidence that changes in political relations and military alliances can affect economic exchange (Niemann, 2025; Khalil et al., 2025; Neri-Laine, 2026). Berger et al. (2013b) show that CIA interventions are followed by increased imports from the United States, while Fuchs and Klann (2013) find that countries whose leaders receive the Dalai Lama subsequently export less to China. Hinz (2023) documents the importance of political ties for bilateral trade, and Kempf et al. (2025) provide complementary microeconomic evidence that U.S. firms are more likely to exit trade relationships with countries whose governments become ideologically distant from their CEOs.

Relative to this literature, our setting provides repeated political shocks across a broad set of

countries and trading partners, allowing us to estimate a causal relationship across many episodes rather than from a particular bilateral dispute or intervention.

Geopolitical Fragmentation and Its Costs. A growing quantitative literature studies the economic consequences of geopolitical fragmentation. Much of this work uses structural trade models to evaluate hypothetical fragmentation scenarios, specifying geopolitical blocs and imposing counterfactual increases in trade barriers between them. These exercises range from fragmentation in strategic sectors (Cerdeiro et al., 2021; Bolhuis et al., 2023) to broader increases in trade costs between geopolitical blocs (Plummer, 2023; Góes and Bekkers, 2022; Javorcik et al., 2024; Baur et al., 2025; Seong et al., 2025; Bonadio et al., 2025). Because the magnitude of geopolitical trade barriers is not directly observed, the welfare consequences in these exercises necessarily depend on the assumed size of the counterfactual barriers.

Historical work provides a complementary approach by studying realized episodes of fragmentation. Campos et al. (2024) quantify the trade and welfare consequences of the Iron Curtain in postwar Europe, estimating a tariff equivalent of 48% in 1951, while Gopinath et al. (2025) trace the evolution of global trade linkages from the Cold War to the current period of geopolitical fragmentation. This work demonstrates that geopolitical divisions can generate large distortions in trade, but does not isolate the causal effect of changes in political alignment across countries and over time.

Our paper provides an empirical counterpart to this largely counterfactual literature. Rather than choosing the magnitude of geopolitical trade barriers as a scenario assumption, we estimate that magnitude from historical variation. Our estimated tariff equivalents, 3.1 percent on average and 11.5 percent for relationships involving Superpowers, are considerably smaller than the trade barriers typically assumed in these simulation exercises, which range from 7.5 to 60 percent or amount to a complete prohibition of trade in strategic sectors (see Table A.1 in the Appendix for a list of assumptions). Our estimates therefore offer a historical benchmark against which the severity of these counterfactual scenarios can be assessed.

Geoeconomics and Economic Statecraft. Our paper also contributes to a growing literature on how states use economic relationships to pursue geopolitical objectives. Recent theoretical work emphasizes the interaction between economic integration, strategic dependence, and international power. Thoenig (2024) develop a quantitative framework for studying the two-way relationship between trade and interstate conflict. Broner et al. (2025) study alignment-based hegemonic globalization and show how a transition from unipolarity toward competing powers can generate fragmentation. Becko and O'Connor (2024) analyze how countries choose domestic production and international trading relationships when they anticipate using trade as leverage in future geopolitical conflicts, while Liu and Yang (2025) show how asymmetric trade dependence can generate international power. A series of papers by Clayton et al. (2024, 2026a,b) develops theoretical frameworks for geoeconomic competition. Relatedly, Meyer and Wesseler (2026) model competing hegemons using economic carrots and sticks to influence third countries during the Cold War. Recent contributions by Mohr and Trebesch (2025) and Mattoo et al. (2024) place these

questions within the broader literature on geoeconomics and international economic cooperation.

We complement this literature by providing empirical evidence on a key link underlying models of geoeconomic competition: the extent to which political alignment translates into economic integration. Our mechanism evidence further connects this reduced-form relationship to the instruments of economic statecraft emphasized in this literature, while showing that formal policy instruments need not account for the entire relationship.

Finally, our analysis relates to work on the economic and political consequences of coups (Bazzi and Blattman, 2014; Meyersson, 2016; Derpanopoulos et al., 2016; Dorsch and Maarek, 2018; Bennett et al., 2021) and the political economy of foreign aid (Meernik et al., 1998; Alesina and Dollar, 2000; Kuziemko and Werker, 2006; Faye and Niehaus, 2012; Alfaro et al., 2014; Qian, 2015; Dreher et al., 2021; Horn et al., 2020).

The remainder of the paper proceeds as follows. Section 2 describes the Cold War setting, and Section 3 introduces the data. Sections 4 and 5 develop our framework and empirical strategy. Section 6 presents the main results, followed by effect heterogeneity in Section 7, and mechanisms in Section 8. Section 9 quantifies the welfare consequences and extends the analysis to the contemporary U.S.–China rivalry. Section 10 concludes.

2 Setting: Blocs, Realignment, and Coups

The Cold War provides substantial variation in countries' political alignment, both across countries and over time. This section first describes the structure of the two major blocs and then shows how abrupt political realignments, those generated by coups, provide the variation used to identify the effect of geopolitical alignment on trade.

2.1 The Structure of Cold War Blocs

The post-World War II international economic order quickly fractured along ideological lines. By the late 1940s, the global economy was divided into three broad groups: the U.S.-led Western bloc, the Soviet-led Eastern bloc, and a heterogeneous set of non-aligned nations that attempted to maintain economic relationships with both sides (Westad, 2005). We use this same three-way split throughout the paper for descriptive analysis and to test for heterogeneous treatment effects, fixing each country's bloc membership over the full sample period to avoid endogeneity concerns. When we turn to our causal identification strategy in Section 4, we rely on a continuous measure of political distance, which captures gradual realignment and within-bloc heterogeneity that a discrete classification cannot.

The **Western bloc**, centered on the United States and its NATO allies, was organized around market principles and multilateral institutions. The 1947 General Agreement on Tariffs and Trade (GATT) established a framework for reducing trade barriers among market economies, while the Marshall Plan provided massive economic assistance to rebuild Western Europe. We define the Western bloc as NATO members plus Japan and Australia: the founding members (Belgium,

Canada, Denmark, France, Iceland, Italy, Luxembourg, the Netherlands, Norway, Portugal, the United Kingdom, and the United States) together with the countries that acceded during the Cold War (Greece, Turkey, West Germany, Spain), plus Japan and Australia, which, though never formal NATO members, were closely integrated into the Western economic sphere through their post-war military and economic alignment with the United States. This grouping coincides with the membership of CoCom, the Coordinating Committee for Multilateral Export Controls, the multilateral regime established in 1949 that restricted Western exports of strategic goods and technology to the Soviet bloc. By the 1950s, the Western bloc accounted for approximately 70% of global GDP and was characterized by relatively open trade within the bloc, despite maintaining various barriers to trade with communist countries. Trade was economically substantial: the median country exported roughly 15–20% of its income, with intra-Western flows accounting for around 65% of all bilateral trade (see Appendix Figure A.11).

The **Eastern bloc**, led by the Soviet Union, operated under different economic principles. Central planning replaced market mechanisms, state enterprises monopolized foreign trade, and bilateral clearing agreements governed most international transactions. The Council for Mutual Economic Assistance (COMECON), established in 1949, coordinated economic relations among communist countries, conducting trade through bilateral protocols that specified quantities and prices, often divorced from world market prices. We define the Eastern bloc as the formal members of the Warsaw Pact, the military alliance formed in 1955 that reinforced this economic integration: the Soviet Union, Poland, East Germany, Hungary, Romania, Bulgaria, Czechoslovakia, and Albania. Other countries maintained communist governments or close Soviet ties without joining the Pact. We exclude them from the Eastern bloc to keep the classification clean, treating their alignment instead through the continuous political distance measure introduced in Section 3.

Between these two poles lay the **Non-Aligned** world, whose organizing movement emerged following the 1955 Bandung Conference. Countries such as India, Egypt, Yugoslavia, Ghana, and Indonesia sought to maintain economic relationships with both superpowers while preserving political independence. For these nations, playing superpowers off against each other could yield substantial economic benefits in the form of aid, favorable trade terms, and development assistance from both sides (Meyer and Wesseler, 2026). However, their room for maneuver was often constrained by geographic proximity to one bloc or the other, historical colonial relationships, and the intensity of superpower competition in their regions. We classify every country outside the Western and Eastern blocs as Non-Aligned, a deliberately heterogeneous residual category that includes both the movement's founding members and countries that maintained varying degrees of independence from both sides, some leaning consistently toward one superpower, others shifting repeatedly. Because bloc membership is held fixed over the sample, this three-way classification is necessarily coarse. It is a useful descriptive lens, not the source of our causal variation.

2.2 Coups as Sources of Political Realignment

While the basic structure of Cold War blocs remained relatively stable, individual countries' positions within this structure shifted substantially over time. These shifts provide the variation we exploit for causal identification.

Some realignments were dramatic and sudden. Egypt shifted from being a Soviet ally in the 1950s and 1960s to a U.S. partner following President Sadat's 1972 expulsion of Soviet advisors and the 1979 Camp David Accords. Chile, one of the most prominent examples, experienced two sharp reversals: the 1970 election of socialist Salvador Allende moved the country toward the Soviet sphere, while the 1973 military coup that brought Augusto Pinochet to power reversed this alignment toward the West. Other shifts were more gradual. Many newly independent African and Asian nations experimented with different alignments during their first decades of independence. Some countries, such as India, maintained consistent non-aligned positions while varying the balance of their relationships with each superpower. Portugal and Spain moved from authoritarian neutrality toward fuller integration with Western Europe following their democratic transitions in the 1970s.

These shifts were driven by various factors: domestic political changes (coups, elections, revolutions), regional conflicts and superpower interventions, among others. Importantly for our identification strategy, many alignment shifts occurred abruptly following political shocks, creating discontinuous changes in a country's political distance from various trading partners.

Among these sources of abrupt realignment, coups d'état, the illegal seizure of political power, are particularly useful for our identification strategy. First, they are difficult to predict beforehand. An extensive literature has proposed dozens of country characteristics as coup determinants, but testing these systematically across millions of model specifications finds that only a handful, such as slow economic growth, a history of prior coups and other political violence, are robust predictors, while most proposed determinants are not (Gassebner et al., 2016; Lehoucq, 2021). Coups are accordingly closer to unanticipated shocks than to the visible culmination of a predictable political trend, which is desirable for identification since it lowers the likelihood that trading partners adjust in anticipation before the coup itself occurs. Second, they are discrete and dateable. Unlike the gradual electoral or diplomatic shifts described above, a coup typically installs a materially different government within days, producing a sharp break in a country's foreign policy orientation rather than a slow drift that is difficult to date precisely. Third, coups do not require the country experiencing them to be a democracy. Designs that instead rely on close elections to isolate quasi-random shifts in leadership (Liu and Yang, 2025) are only available where competitive, contested elections take place. During the Cold War, however, a large share of the developing world was governed by single-party states, military juntas, or monarchies with no meaningful electoral contest. Coups occurred across this entire range of regime types, allowing us to include much of the Third World in our identification sample rather than restricting attention to the smaller set of countries with competitive elections.

A concern with treating coups as a source of identifying variation is that some of them may not

be genuine, spontaneous expressions of domestic political change but events fabricated or directly orchestrated by a foreign power specifically to install a government aligned with its own interests. If a superpower engineers a coup precisely because it wants the resulting political realignment and the closer economic relationship that comes with it, then the coup is not an exogenous shock. Instead, it would be an instrument of the superpower's own objectives, which could confound our estimates of the trade response to realignment. We address it directly in our analysis by verifying the robustness of our results to the exclusion of potentially manipulated coups, as well as by implementing an alternative identification strategy that is considerably less sensitive to such manipulation than our baseline. Details are described further in Section 6.3.

3 Data

Three main ingredients go into our empirical design, bilateral trade flows, a continuous measure of political alignment, and the coup events that shift it. We describe each in turn below. For two of these three, bilateral trade and the classification of coup events by superpower involvement, existing sources are insufficient for our purposes, so we construct new data: digitized product-level Soviet trade statistics and an LLM-based classification of superpower backing across the full universe of Cold War coup attempts. All other data from our analysis, including newly digitized Soviet foreign aid data, are described as they are used.

3.1 Bilateral Trade

We obtain bilateral trade flow data from two main sources. The main dataset is the CEPII TradHist database, which provides historical bilateral trade flows from 1827 to 2014 (Fouquin and Hugot, 2016). For the 1955–1985 period covered by our analysis, TradHist draws primarily on the IMF's Direction of Trade Statistics (DOTS), supplemented by additional data from government publications and primary sources.[1] The database also provides standard gravity variables such as bilateral distance, contiguity, common language, and colonial relationships as well as data on national GDP. To account for the extensive margin of trade, we retain zero trade flows as reported by TradHist in all our specifications.

However, TradHist has important limitations for studying Cold War trade. Soviet bloc countries did not consistently report trade statistics to international organizations, and their use of non-market pricing mechanisms complicates comparisons with market economies. More importantly, DOTS relies on partner-reported trade flows, resulting in particularly sparse coverage of Soviet trade with developing countries. Missing trade data may also be systematically related to political alignment. If socialist countries systematically underreported trade with Western partners, for instance, this could bias our estimates.

[1]The historical literature dates the Global Cold War to range from around 1955-1985 (Westad, 2005), and we adopt this range for our empirical analysis. To examine the effect of political distance on trade after the Cold War, we extend some of our analysis through 2022 using data from the CEPII Gravity database (Conte et al., 2022).

We address these concerns by complementing TradHist with product-level trade data digitized directly from Soviet annual statistical yearbooks (*Vneshnyaya Torgovlya SSSR*), which provide Soviet-reported bilateral trade flows. This approach follows Campos et al. (2024), who similarly supplement TradHist with primary Soviet sources to reconstruct comprehensive trade flows between the USSR and both Eastern and Western trading partners. Beyond the aggregates digitized by Campos et al. (2024), we digitize the full product-level trade data.[2] This allows us to construct bilateral sector-level trade flows needed for our analysis on heterogeneity.

3.2 Political Alignment

Our primary measure of political alignment comes from United Nations General Assembly (UNGA) voting records. We use the ideal point estimates of Bailey et al. (2017), who assign every country a single scalar value each year, estimated jointly from its full voting record across all UNGA resolutions. The underlying model accounts for missing votes and for variation in how salient different resolutions are, so that resolutions with widespread agreement do not carry the same weight as more divisive ones, and covers all UNGA participants from 1946 to 2023. Countries that consistently vote together are inferred to have similar ideal points, while countries that frequently vote in opposition are assigned distant ideal points. Ideal points are scaled so that higher values indicate positions closer to the Western bloc and lower values indicate positions closer to the Soviet bloc. Using UNGA idealpoints follows a long literature in international relations and, more recently, economics (Camboni and Porcellacchia, 2024; Kleinman et al., 2024; Becko et al., 2025; Gopinath et al., 2025).

We use these ideal points to construct measures of bilateral political distance. For any country pair (i, j) at time t, we define:

$$\text{IPD}_{ijt} = |\text{IdealPoint}_{it} - \text{IdealPoint}_{jt}|$$

where IPD_{ijt} is the ideal point distance between countries i and j. This measure captures how far apart two countries are in the foreign policy space. Larger values indicate greater political distance, suggesting less alignment on international issues.

The UN voting-based measure has several advantages for our purposes. First, it varies continuously both across countries and over time, capturing gradual realignments as well as abrupt shifts. Second, it is based on revealed preferences through actual voting decisions rather than subjective assessments. Third, it aggregates information across many issues, reducing the influence of any single vote or temporary disagreement. Fourth, participation in UNGA voting was nearly universal, providing coverage for both aligned and non-aligned countries.

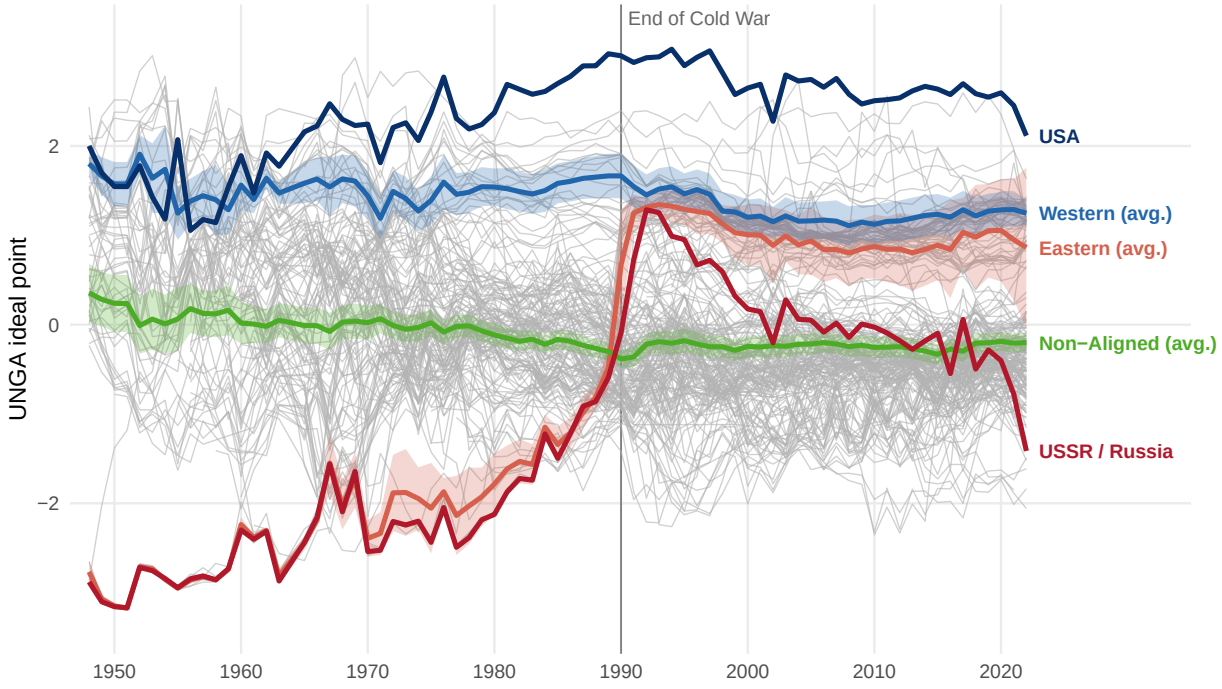
Figure 1 shows the evolution of average ideal points for different groups during our sample

[2]Standard sector-level sources such as the NBER-UN World Trade Flows by Feenstra et al. (2005) are built from partner-reported mirror statistics. Because the Soviet Union did not report to the United Nations trade statistics system, these data almost entirely omit Soviet trade with Warsaw Pact countries, which accounted for 44 to 71 percent of total Soviet trade depending on the year.

period. The United States maintains a consistently high ideal point (around 2.5), while the Soviet Union has a consistently low ideal point (around −2). NATO allies cluster near the U.S. position, Warsaw Pact members cluster near the Soviet position, and non-aligned countries occupy intermediate positions with substantial variation. Importantly, individual countries' positions shift over time in response to political changes, providing the within-country variation we exploit for identification.

In Meyer and Wesseler (2026) we validate this measure of alignment both narratively and quantitatively. We provide case studies of countries that are well-known to have shifted alignment during the Cold War, such as Chile, Egypt, Ethiopia, or Somalia and show that the UNGA alignment measure recovers the timeline of these alignment shifts as documented by historians (David, 1991). We further verify robustness to using an alternative measure of political alignment constructed from geopolitical event data in Section 6.3.

Figure 1: Ideal Points of Countries and Blocs, 1948–2022



Note: This figure displays the evolution of UN General Assembly ideal points from Bailey et al. (2017) over time. Thick colored lines show bloc averages, Western (blue), Eastern (red-orange), and Non-Aligned (green), with shaded regions indicating 95% confidence intervals around each group mean. The United States and the USSR/Russia, both included in their respective bloc averages, are also highlighted individually. Thin gray lines trace individual country trajectories, illustrating within-group heterogeneity and countries shifting alignment over time. The vertical line marks the end of the Cold War (1990). Higher values indicate positions closer to the Western bloc, while lower values indicate positions closer to the Soviet bloc.

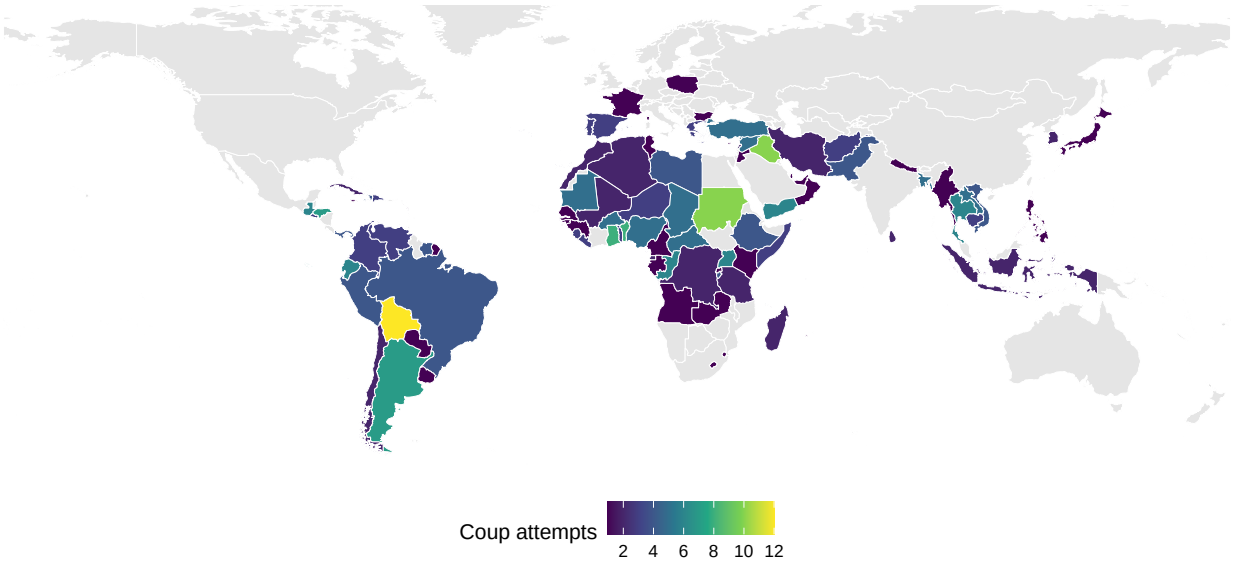
3.3 Coups

Our primary source is the coup dataset of Bjørnskov and Rode (2020) (BR), an update to the Democracy and Dictatorship dataset of Cheibub et al. (2010), which provides comprehensive cov-

erage of coup attempts between 1950 and 2018. According to the BR data, coups and coup attempts have to fulfil the following definition to count as such: First, the objective must be to overthrow the executive branch. Second, actors have to be previously linked to the state apparatus in some way. Third, a coup or coup attempt cannot last longer than a week at most.[3]

Coups were a common feature of the Cold War period. BR record 296 coup attempts, of which 153, or 51.7%, succeeded in replacing the sitting government. Figure 2 maps the geographic distribution of these attempts. They are concentrated in Latin America, Sub-Saharan Africa, and the Middle East, with Bolivia (12), Iraq (10), and Sudan (10) being the most affected countries.

Figure 2: Coup attempts, 1955–1985



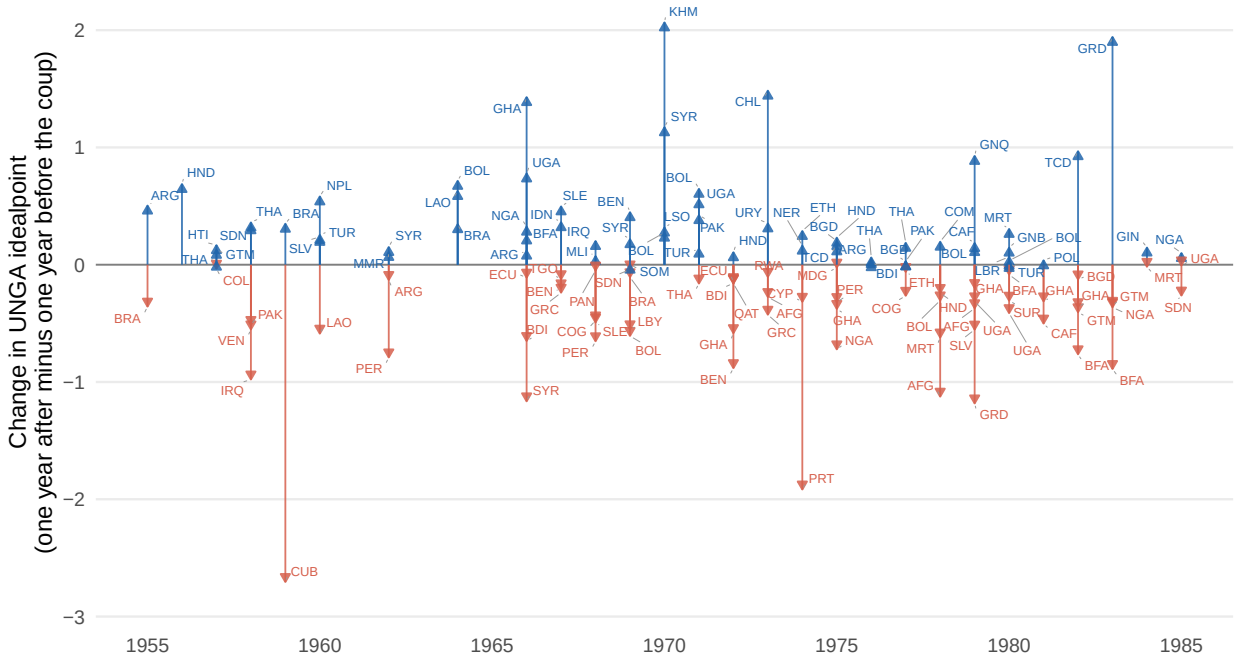
Note: This figure plots the total number of coup attempts recorded for each country between 1955 and 1985, the sample window used throughout the paper. Counts include both successful and failed attempts. Countries with no recorded attempt are shaded grey. Data from Bjørnskov and Rode (2020).

Figure 3 illustrates the resulting variation in political alignment directly. For each successful coup we plot the change in the country's UNGA idealpoint from one year before the coup to one year after, an arrow pointing up when the coup moves a country closer to the United States and down when it moves the country closer to the Soviet Union. Shifts occur in both directions in roughly equal numbers and vary substantially in size, from a decline of 2.7 to an increase of 2.1 on the idealpoint scale, with a mean absolute shift of 0.42. This is the variation in political realignment that our identification strategy exploits.

The near coin-flip success rate is itself informative. It suggests that, conditional on an attempt

[3]For robustness, we cross-validate this data with several alternative sources. These are the Center for Systemic Peace's dataset on regime changes, the coup data from Berger et al. (2013b) covering CIA-supported interventions, and the Colpus dataset from Chin and Kirkpatrick (2023). While definitions and coverage vary slightly across sources, the timing and basic facts of major coups are consistent.

Figure 3: Change in Idealpoint Around Successful Coups, 1955–1985



Note: This figure plots, for each successful coup between 1955 and 1985, the change in the country's UNGA idealpoint from one year before the coup to one year after. Countries with more than one successful coup in the same year are represented by the later coup only. Arrows point up (blue) when the idealpoint moves toward the United States and down (red) when it moves toward the Soviet Union. Idealpoints are from Bailey et al. (2017).

being made, the outcome depends heavily on tactical factors, such as coordination among plotters, the loyalty of individual military units, timing, and luck, rather than being fully determined in advance. We return to this observation in Section 4.4, where we use variation in coup success, holding fixed the underlying decision to attempt a coup, as a second source of identification.

We also use these events to construct a new classification of superpower involvement. For every coup attempt in the BR data, we ask a large language model, acting as a Cold War historian, whether there is credible documented evidence, as opposed to an undocumented historical allegation, that the United States or the Soviet Union directly assisted, funded, or orchestrated that specific attempt. We use this classification in Section 6.3 to test whether our baseline results are driven by coups a superpower itself engineered, and Appendix A.2 reports the full classification together with its geographic distribution.

To provide the reader with a concrete sense of the variation in our data, we present four historical case studies for coups, two successful and two failed. These examples illustrate how a change in political leadership can produce sharp shifts in geopolitical alignment, and how such shifts need not reflect gradual changes in underlying political conditions but can instead result from the actions of a small number of individuals.

3.3.1 Successful Coups

Mali 1968. On 19 November 1968, Lieutenant Moussa Traoré led a bloodless coup against President Modibo Keïta in Mali, deposing the country's founding father who had ruled a socialist one-party state since independence in 1960. The immediate causes were severe economic difficulties, compounded by a poor harvest in 1968 and growing popular dissatisfaction with Keïta's increasingly authoritarian rule. Traoré's new military government partially reversed Keïta's socialist policies and moved Mali closer to the Western sphere of influence, a shift clearly visible in Mali's UN voting record in Figure 4a.

Crucially, this coup received no foreign support: Jacques Foccart, de Gaulle's closest adviser for African affairs was caught completely off guard by the putsch, as Foccart's own memoirs reveal:[4]

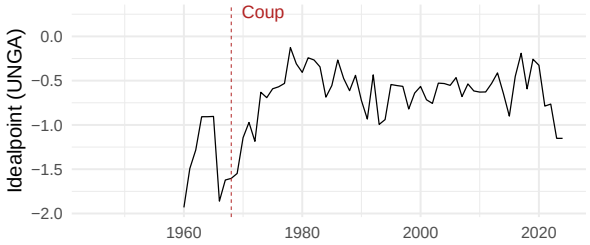
> 19 November 1968.
>
> [De Gaulle:] *"But how did this happen? I have seen no telegram, I have nothing!"*
>
> [Foccart:] *"General, they have just arrived, here they are."*
>
> [De Gaulle:] *"They fought?"*
>
> [Foccart:] *"Yes, they even brought in armored vehicles. [...] In my view, this means the coup was carried out by moderates, in reaction against the increasingly pro-Chinese and pro-Soviet position of Madeira Keïta. The affair is being led by lieutenants and captains. From the first indications I have, these are people trained at the military school of Fréjus."*
>
> 20 November 1968.
>
> *"I confirm that Modibo has been arrested, as well as Ousmane Bâ and Madeira Keïta. I make him read the proclamations of the military, which all go in a favorable direction to the Western world. [...] Among all these subordinate officers who somehow make up the new government, none have been formed in the East."*

Burkina Faso 1983. On 4 August 1983, Captain Thomas Sankara came to power in Upper Volta (today Burkina Faso) through a coup led by his close ally Captain Blaise Compaoré, who commanded 250 paratroopers in a march on the capital and deposed President Jean-Baptiste Ouédraogo (Kandeh, 2004). The trigger was Ouédraogo's arrest of Sankara in May 1983, after tensions within the ruling military council over ideological direction had grown irreconcilable. Sankara established a National Council of the Revolution and immediately pursued a radical pan-Africanist and anti-imperialist agenda, renaming the country Burkina Faso, nationalizing land, rejecting foreign debt, and distancing the country from its former colonial power France. The shift in geopolitical alignment was sharp and persistent, as reflected in Burkina Faso's UN voting record in Figure 4b.

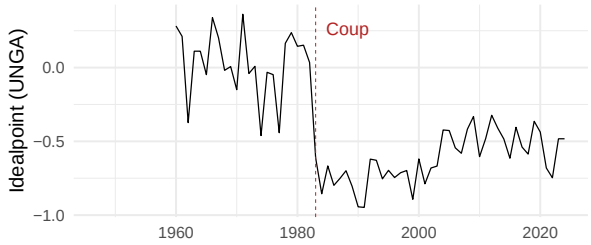
[4] Jacques Foccart, *Mémoires*, vol. II, p. 446 (19 November 1968). Original French: "Mon Général, ... ce qui, à mes yeux, signifie que le coup est fait par des modérés en réaction contre la position de plus en plus prochinoise et prosoviétique ... de Madeira Keïta. L'affaire est menée par des lieutenants et des capitaines. D'après les premières indications que j'ai, ce sont des gens formés à l'école militaire de Fréjus."

Figure 4: Successful Coups

(a) Mali (1968)



(b) Burkina Faso (1983)



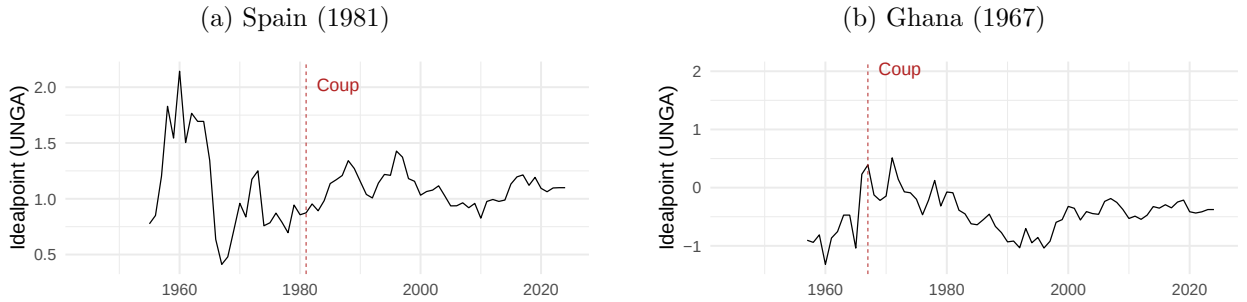
Notes: The figure plots the UN ideal point of Mali (panel a) and Burkina Faso (panel b) over time. The dashed vertical line marks the year of the coup: 1968 for Mali and 1983 for Burkina Faso. A higher ideal point indicates closer alignment with the United States.

3.3.2 Failed Coups

Spain 1981. On 23 February 1981, Lieutenant-Colonel Antonio Tejero led 200 armed Civil Guard officers into the Congress of Deputies in Madrid during the parliamentary vote to confirm Leopoldo Calvo-Sotelo as Prime Minister, taking all deputies and cabinet ministers hostage. Simultaneously, Captain General Jaime Miláns del Bosch deployed tanks onto the streets of Valencia and declared a state of emergency, hoping to prompt other military regions to join the uprising. The plotters had structured their plan around the assumption that that King Juan Carlos I would either endorse the coup or remain silent. On February 24, the King appeared on national television in military uniform, explicitly denounced the coup, and ordered the armed forces to uphold the constitutional order (Cemlyn-Jones, 1981). Isolated and without the broader military support, the conspirators surrendered that morning. Spain's UN voting record shows no discernible shift in geopolitical alignment around the coup, as seen in Figure 5a.

Ghana 1967. On 17 April 1967, three junior officers of the Ghana Armed Forces (Lieutenant Samuel Arthur, Lieutenant Moses Yeboah, and Second Lieutenant Osei-Poku) led 119 soldiers in an attempted coup against the National Liberation Council (NLC). The operation, code-named "Guitar Boy", seized the national broadcasting house in Accra and broadcast an announcement of the takeover. However, the coup unravelled almost immediately. Lieutenant Arthur killed a captain who refused to hand over the keys to the ammunition depot. Lieutenant Yeboah shot and killed General Emmanuel Kotoka, Ghana's Chief of the Defence Staff, at the airport. Loyal units quickly moved to suppress the rebellion, and the coup collapsed within hours. The failure stemmed not from foreign intervention but from a thin operational base. Arthur later admitted his primary motivation was personal ambition. He wanted to be the first subaltern in Africa to stage a successful coup (Ofosu-Appiah, 1972). Ghana's geopolitical alignment remained largely unchanged, as seen in Figure 5b.

Figure 5: Failed Coups



Notes: The figure plots the UN ideal point of Spain (panel a) and Ghana (panel b) over time. The dashed vertical line marks the year of the coup: 1981 for Spain and 1967 for Ghana. A higher ideal point indicates closer alignment with the United States.

4 Empirical Framework

This section derives the empirical specifications we take to the data. We start from a standard structural gravity model of trade, show how it delivers our baseline empirical specification and where political distance enters as a component of bilateral trade costs. The same structure then yields our event study specification, obtained by decomposing political distance around the timing of a coup.

4.1 Structural Gravity

We consider a standard Armington framework in the spirit of Anderson and van Wincoop (2003). The world consists of $i = 1, \ldots, N$ countries, and consumers in country n have CES preferences over the N national varieties, where q_{ni} denotes consumption in country n of the variety produced by country i, with elasticity of substitution $\sigma > 1$,

$$U_n = \left(\sum_{i=1}^{N} q_{ni}^{\frac{\sigma-1}{\sigma}} \right)^{\frac{\sigma}{\sigma-1}}.$$

Country i produces the national variety at constant unit cost w_i, and delivering one unit to country n requires shipping $\tau_{ni} \geq 1$ units, so the delivered price is $p_{ni} = w_i \tau_{ni}$. Combining CES expenditure shares with market clearing yields the structural gravity equation for bilateral trade flows X_{nit} from i to n at time t,

$$X_{nit} = \frac{Y_{it} X_{nt}}{\Omega_{it} \Phi_{nt}} \phi_{nit}, \qquad \phi_{nit} \equiv \tau_{nit}^{1-\sigma}, \tag{1}$$

where Y_{it} is country i's total output, X_{nt} is country n's total expenditure, and Ω_{it} and Φ_{nt} are outward and inward multilateral resistance terms, respectively. They summarize how bilateral trade depends not only on trade costs between i and n, but also on each country's trade costs with all alternative markets and suppliers.

Note that this structural gravity representation extends beyond the Armington model to a broad

class of quantitative trade models, including Krugman (1980) and Eaton and Kortum (2002). We therefore let ϕ_{nit} capture bilateral trade frictions without taking a stand on the particular microfoundation for now, and return to the explicit CES parametrization where needed for the welfare counterfactuals in Section 9.

Taking logarithms of equation (1) gives

$$\log X_{nit} = \log Y_{it} - \log \Omega_{it} + \log X_{nt} - \log \Phi_{nt} + \log \phi_{nit}. \tag{2}$$

The multilateral resistance terms are unobserved and depend on the entire matrix of bilateral trade costs, but following Head and Mayer (2014) we can absorb them without solving for them explicitly. Grouping all terms that vary only by exporter and year into an exporter-year fixed effect γ_{it}, and all terms that vary only by importer and year into an importer-year fixed effect δ_{nt}, leaves the bilateral friction term $\log \phi_{nit}$ as the only object left to model. We decompose bilateral frictions into a time-invariant component, capturing geography, contiguity, common language, and colonial history, among others, and a time-varying component τ^{TV}_{nit}. Writing $\varepsilon \equiv \sigma - 1$ for the elasticity of trade with respect to trade costs,

$$\log \phi_{nit} = -\varepsilon \log \tau_{nit} = -\varepsilon\, \bar{\tau}_{ni} - \varepsilon\, \tau^{TV}_{nit}. \tag{3}$$

The time-invariant piece is absorbed by a dyad fixed effect α_{ni}, giving the empirical gravity specification

$$\log X_{nit} = \gamma_{it} + \delta_{nt} + \alpha_{ni} - \varepsilon\, \tau^{TV}_{nit} + \eta_{nit}. \tag{4}$$

Because trade flows are frequently zero, particularly for the Cold War dyads at the center of our analysis, and because OLS on the log-linearized gravity equation is inconsistent under heteroskedasticity, we estimate every specification derived from equation (4) by Poisson Pseudo-Maximum Likelihood (PPML), following Head and Mayer (2014).

4.2 Political Distance as a Trade Cost

Our object of interest is the time-varying trade cost τ^{TV}_{nit} isolated in equation (4). We let political distance account for this component

$$\tau^{TV}_{nit} = -\frac{\beta}{\varepsilon}\, \mathrm{IPD}_{nit}, \tag{5}$$

where IPD_{nit} is the ideal point distance between countries n and i defined in Section 3.2, and β is the parameter governing how political distance affects trade costs, to be estimated from the data below. Substituting equation (5) into equation (4) gives our baseline specification

$$\log X_{nit} = \gamma_{it} + \delta_{nt} + \alpha_{ni} + \beta\, \mathrm{IPD}_{ni,t} + \eta_{nit}, \tag{6}$$

The coefficient β is therefore a structural object: $-\beta/\varepsilon$ is the semi-elasticity of trade costs with respect to political distance. This mapping lets us translate any estimate of β into an ad valorem tariff equivalent, the uniform tariff that would raise trade costs by the same amount as a given level of political distance

$$\mathrm{TE}_{nit} = 100 \times \left[\exp\left(-\frac{\beta \, \mathrm{IPD}_{nit}}{\varepsilon} \right) - 1 \right]. \tag{7}$$

We report tariff equivalents throughout the paper using this formula, together with the trade elasticity $\varepsilon = 5.03$ estimated by Head and Mayer (2014).

4.3 Coups as Exogenous Shocks

Equation (6) identifies β from all variation in political distance, including variation driven by reverse causality or omitted variables. To isolate a source of variation that is plausibly exogenous, we exploit coups, which generate sharp, discontinuous shifts in a country's political alignment. For a country pair (n, i) affected by a coup in country n at time t_0, we approximate the path of political distance around the coup as a two-regime step process, equal to a pre-coup baseline $\mathrm{IPD}_{ni,\mathrm{pre}} \equiv \mathrm{IPD}_{ni,t_0-1}$, the level of political distance in the year immediately preceding the coup, plus a coup-induced shift

$$\mathrm{IPD}_{nit} = \mathrm{IPD}_{ni,\mathrm{pre}} + \Delta\mathrm{IPD}_{ni} \cdot \mathbf{1}[t \geq t_0] + u_{nit}, \qquad \Delta\mathrm{IPD}_{ni} \equiv \mathrm{IPD}_{ni,t_0+1} - \mathrm{IPD}_{ni,t_0-1}. \tag{8}$$

The step approximation captures the coup-induced jump in alignment, while u_{nit} absorbs any remaining, non-coup-driven movement in political distance – gradual drift, other geopolitical events, or measurement noise – that occurs before or after the coup. Substituting the decomposition into equation (6), and noting that $\mathrm{IPD}_{ni,\mathrm{pre}}$ is time-invariant and therefore absorbed by a dyad fixed effect $\tilde{\alpha}_{ni} \equiv \alpha_{ni} + \beta \, \mathrm{IPD}_{ni,\mathrm{pre}}$, gives a difference-in-differences specification

$$\log X_{nit} = \gamma_{it} + \delta_{nt} + \tilde{\alpha}_{ni} + \beta \, \Delta\mathrm{IPD}_{ni} \cdot \mathbf{1}[t \geq t_0] + \beta \, u_{nit} + \eta_{nit}, \tag{9}$$

where $\beta \, u_{nit}$ is absorbed into the composite error term. This specification imposes that the effect of political realignment on trade is instantaneous and constant after the coup. To allow for gradual adjustment, and to test for pre-existing trends, we replace the single post-coup indicator with a full set of event-time dummies, arriving at our event study specification

$$\log X_{nit} = \sum_{k \neq -1} \beta_k \cdot \mathbf{1}[t - t_0 = k] \cdot \Delta\mathrm{IPD}_{ni} + \gamma_{it} + \delta_{nt} + \tilde{\alpha}_{ni} + \eta_{nit}, \tag{10}$$

normalizing $\beta_{-1} = 0$ so that all coefficients are measured relative to the year before the coup. Note that each event-time dummy is interacted with the same coup-induced shift $\Delta\mathrm{IPD}_{ni}$ rather than with the realized IPD_{nit} at each date t. The specification therefore traces out the dynamic trade response to a fixed initial dose of political realignment, rather than the contemporaneous elasticity of trade with respect to political distance. This design absorbs any approximation error

u_{nit} into η_{nit}, and relies on u_{nit} being unrelated to event time around the coup. The coefficients β_k trace out how trade evolves in event time as a function of the political shift, and are directly comparable to the baseline coefficient β in equation (6). Under the gravity model, we would expect $\beta_k \approx 0$ for $k < -1$ if trade was not already trending differentially ahead of the coup and β_k converging to β if the baseline estimate reflects the same causal relationship rather than reverse causality or omitted variables. As with all gravity specifications in the paper, we estimate equation (10) by PPML. We therefore write the estimating equation in multiplicative form as

$$X_{nit} = \exp\left(\sum_{k \neq -1} \beta_k \cdot \mathbf{1}[t - t_0 = k] \cdot \Delta\text{IPD}_{ni} + \gamma_{it} + \delta_{nt} + \tilde{\alpha}_{ni}\right) \eta_{nit}, \tag{11}$$

where η_{nit} is a multiplicative error term satisfying $E[\eta_{nit} \mid \mathbf{Z}] = 1$, with $\mathbf{Z}$ denoting the full set of regressors and fixed effects.

4.4 Two Complementary Identification Strategies

We take two distinct empirical strategies to the data, both built on the coup-induced shifts in political distance derived above, but differing in their control group, their identifying assumption, and the object they recover. Figure 6 summarizes both strategies.

Strategy 1: Coups versus No Coups. Our primary specification is equation (11), which compares dyads involving a country that experienced a successful coup to dyads involving countries that experienced no coup at all. Because the treatment is the continuous coup-induced shift ΔIPD_{ni} rather than a binary indicator, β_k is a dose-response coefficient, the percentage change in trade per one-unit increase in political distance, k years after the coup. This is precisely the object that enters the tariff equivalents in equation (7), and the welfare counterfactuals of Section 9, which require knowing how trade costs scale with political distance.

To see what Strategy 1 assumes, let $Y_{ni,t_0+k}(0)$ denote the potential log bilateral trade flow between n and i at event time k absent the coup-induced shift in political distance, and let $\Delta y_{ni,k}(0) \equiv Y_{ni,t_0+k}(0) - Y_{ni,t_0-1}(0)$ be the counterfactual change in trade from the year before the coup to event time k that dyad (n, i) would have experienced without the realignment. Because a separate coefficient β_k is identified at every event time, and because the treatment ΔIPD_{ni} is continuous rather than binary, equation (11) identifies the full path $\{\beta_k\}$ without bias under a conditional mean independence assumption that must hold at each k: the counterfactual trend must not vary, on average, with the realized size of the coup-induced shift,

$$E\big[\Delta y_{ni,k}(0) \mid \Delta\text{IPD}_{ni}, \gamma_{it}, \delta_{nt}, \tilde{\alpha}_{ni}\big] = E\big[\Delta y_{ni,k}(0) \mid \gamma_{it}, \delta_{nt}, \tilde{\alpha}_{ni}\big] \qquad \text{for all } k. \tag{12}$$

Because γ_{it} and δ_{nt} already absorb any shock that moves a country's trade uniformly across all of its partners, equation (12) does not require coup attempts, or successful coups, to be unrelated to a country's overall trade trajectory. What it requires is narrower: among a coup country's trading partners, those who happen to gain or lose political distance from the coup must not already have

been on a different bilateral trade trend for unrelated reasons, at any point in event time. This assumption fails if the same forces that shape the direction of a realignment also move bilateral trade with exactly those partners for reasons unrelated to the political shift itself.

Failed coup attempts provide a complementary placebo test for Strategy 1. Failed attempts share many of the political and economic conditions surrounding successful coups, but do not produce the change in government that generates the political realignment underlying our treatment. We therefore estimate the same event-study structure around failed coup attempts and test whether bilateral trade changes systematically following these events. If the trade effects we estimate around successful coups instead reflected political instability, anticipation of regime change, or other shocks associated with coup attempts themselves, we would expect to observe similar changes in trade following failed attempts. Conversely, the absence of such effects following failed coups supports the interpretation that the results for successful coups are driven by the realized political realignment rather than by the occurrence of a coup attempt itself. This placebo cannot rule out shocks that arise only when a coup succeeds and are correlated with the resulting change in political distance, which motivates our second identification strategy.

Strategy 2: Success versus Failure. Strategy 1's identifying assumption is not directly testable, since we never observe the counterfactual trade trend for a country that actually experienced a coup. We therefore turn to a second strategy that holds fixed the underlying propensity for political upheaval and instead exploits variation in its outcome, whether the coup succeeded or failed, as the source of identifying variation.

Let $D_n \in \{0,1\}$ indicate whether country n experienced a coup attempt during our sample period, and let $S_n \in \{0,1\}$, defined only for attempters, indicate whether that attempt succeeded. Our second specification restricts the sample to attempters, $D_n = 1$, and compares those where the attempt succeeded, $S_n = 1$, to those where it failed, $S_n = 0$,

$$X_{nit} = \exp\left(\sum_{k\neq -1} \beta_k^S \cdot \mathbf{1}[t - t_0 = k] \cdot S_n + \gamma_{it} + \delta_{nt} + \alpha_{ni}\right) \eta_{nit}, \tag{13}$$

Because S_n is binary, β_k^S is an average treatment effect, the difference in trade trajectories between successful and failed coup countries, rather than a coefficient on the magnitude of political distance. Using the same potential outcome $\Delta y_{ni,k}(0)$ defined above, Strategy 2 recovers the full path $\{\beta_k^S\}$ without bias if, again conditional on the fixed effects, the counterfactual trend is mean independent of success at each k,

$$E\big[\Delta y_{ni,k}(0) \mid S_n, D_n = 1, \gamma_{it}, \delta_{nt}, \alpha_{ni}\big] = E\big[\Delta y_{ni,k}(0) \mid D_n = 1, \gamma_{it}, \delta_{nt}, \alpha_{ni}\big] \qquad \text{for all } k. \tag{14}$$

Conditioning on $D_n = 1$ holds fixed any dyad-level trend that is driven by the mere fact that a coup was being planned or attempted, for instance firms or governments repositioning trade with particular partners in anticipation of political change once a coup is underway, provided that this anticipatory response is common to successful and failed attempts. The same logic speaks to the

concern, raised in Section 2, that some coup attempts are not spontaneous domestic events but are themselves orchestrated by a foreign power seeking to engineer a particular realignment. Since that motive is already present when the attempt is made, it is common to successful and failed attempts alike and is absorbed by conditioning on $D_n = 1$, as long as foreign backing does not also strongly determine which attempts succeed. This is an advantage of Strategy 2: both the treated and control dyads come from countries where a coup attempt occurred, so the comparison does not rely on countries with no coup activity at all to supply the counterfactual for the anticipation of a coup. What remains is the requirement that, among attempters, which side wins is unrelated to dyad-specific trade trends. This is the sense in which the near coin-flip success rate, determined by tactical factors such as coordination among plotters, the loyalty of individual military units, timing, and luck, supports equation (14): these factors are unlikely to be correlated with which of a country's trading partners were already on a different trajectory. Section 5.1 tests this restriction directly by comparing pre-coup characteristics and trends across successful and failed attempts.

In short, Strategy 1 asks whether the magnitude and direction of political realignment is unrelated to differential counterfactual trade trends, while Strategy 2 asks whether success versus failure is unrelated to those trends among countries where an attempt actually occurred. The two strategies trade off assumption strength against the object they deliver. We treat Strategy 1 as our primary specification for magnitudes throughout the paper, together with the failed coup placebo described above, and use Strategy 2 as validity check on the dyad-level parallel trends assumption in equation (12).

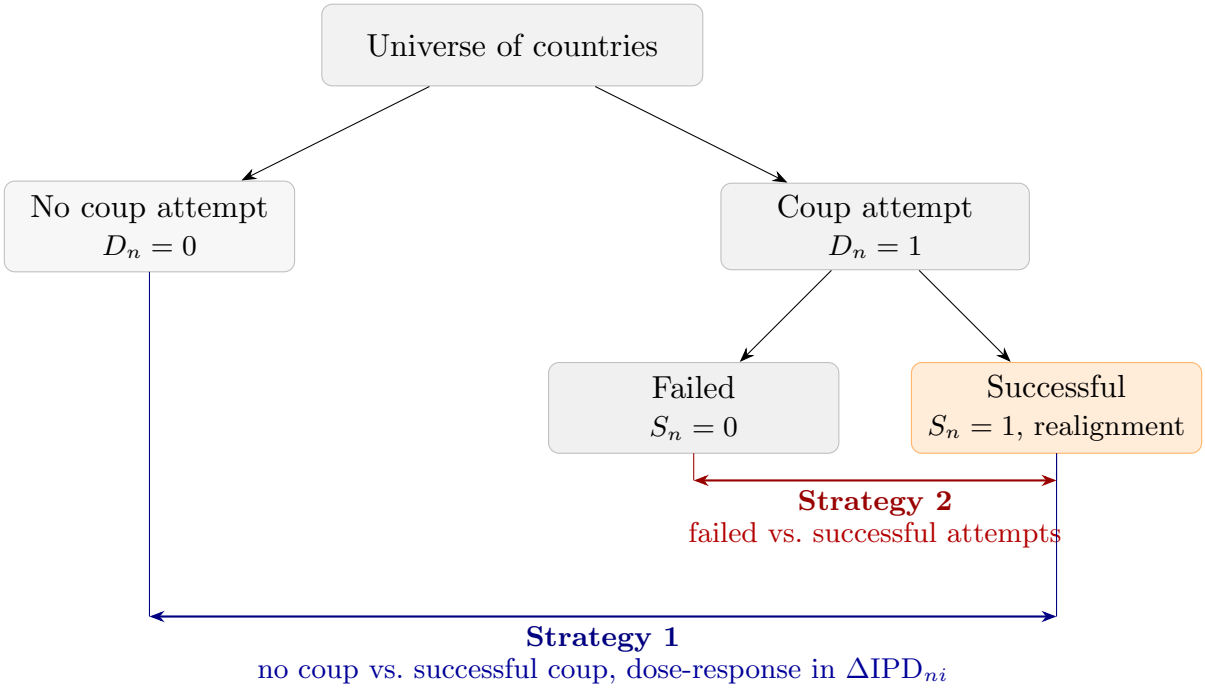
5 Implementation

5.1 Is Coup Success Exogenous Conditional on Attempt?

The identifying assumption for Strategy 2, equation (14), requires that, conditional on a coup attempt taking place, whether it succeeds is unrelated to the dyad-specific trade trends its trading partners would otherwise have followed. Two distinct concerns could violate this. First, success might not be the tactically determined, close to random outcome we have described, driven by coordination among plotters, the loyalty of individual military units, timing, and luck, but instead systematically related to a country's characteristics. If, for instance, weaker states are both more likely to see a coup succeed and more dependent on particular trading partners, success would be correlated with exactly the dyad-specific trends the fixed effects cannot absorb. Second, a successful coup may bring more than a political realignment. If success is bundled with other country-level shocks, an economic crisis, or renewed conflict, and those shocks affect specific trading partners differently, β_k^S could pick up their effect rather than, or in addition to, the effect of political distance.

However, if successful and failed coup countries look similar on observable, pre-determined characteristics, that supports treating success as tactically determined rather than systematically predictable, which addressses the first concern. If country-level characteristics do not move differently after successful coups, that is evidence against the second concern, that successful coups

Figure 6: Overview of the Two Identification Strategies



Note: The universe of countries splits into those that never attempt a coup ($D_n = 0$) and those that do ($D_n = 1$). Among attempters, the coup either fails ($S_n = 0$) or succeeds ($S_n = 1$), generating a realignment. Strategy 1 compares no-coup countries to countries with a successful coup, using the continuous coup-induced shift ΔIPD_{ni} as the treatment intensity. Strategy 2 restricts the sample to attempters and compares successful to failed attempts.

bundle other consequential shocks alongside the realignment.

We compare successful and failed coup countries on population, trade openness, GDP per capita, the Polity2 democracy score, UNGA ideal point, inflation, and civil war incidence, using two-sided t-tests. Table 1 reports the pre-coup *level* of each variable, averaged over the two years before the coup (Panel A), which speaks to the first concern, and its *change* from before to after the coup (Panel B), which speaks to the second.

In Panel A, all of the seven pre-coup levels are statistically indistinguishable between successful and failed coup countries. In Panel B, only the Polity2 democracy score changes significantly more after successful coups than after failed ones ($p = 0.001$), the expected mechanical consequence of the regime change that defines success. None of the other variables, including trade openness itself, change differentially, evidence against successful coups bringing a broader, confounding policy shift alongside the political realignment we study.

We further report the composition of coup types in Panel C. Military coups succeed at a markedly higher rate than civilian ones (81.5 percent versus 68.1 percent, $p = 0.005$), a pattern unsurprising given that militaries control the means of coercion. We view this imbalance as illustrative rather than a threat to identification, since coup type captures who seizes power rather than a channel with an independent direct effect on bilateral trade.

Table 1: Balance Test: Observables by Coup Outcome

Variable	Mean (Succ.)	Mean (Fail.)	Diff.	p-value
Panel A: Level (pre-coup)				
Log GDP per capita	1.714	1.868	-0.154	0.068
Log population	6.463	6.413	0.050	0.740
Trade openness [(X+M)/GDP]	0.183	0.282	-0.099	0.062
Polity2 score	-2.363	-2.963	0.600	0.300
UNGA ideal point	0.022	-0.034	0.057	0.503
Log inflation rate	1.968	2.105	-0.137	0.358
Civil war (share)	0.118	0.148	-0.030	0.392
Panel B: Change (post − pre)				
Log GDP per capita	0.033	0.029	0.004	0.635
Log population	0.073	0.079	-0.005	0.150
Trade openness [(X+M)/GDP]	0.025	0.020	0.005	0.633
Polity2 score	-1.790	0.260	-2.050	0.001*
UNGA ideal point	-0.050	-0.009	-0.041	0.485
Log inflation rate	0.289	0.025	0.263	0.054
Civil war (share)	0.047	-0.006	0.053	0.077
Panel C: Coup type composition				
Military coup (share)	0.815	0.681	0.134	0.005*
Civil/civilian coup (share)	0.163	0.297	-0.134	0.004*
Royal coup (share)	0.022	0.022	0.001	1.000

Note: Sample includes all coup attempts, successful and failed, from Bjørnskov and Rode (2020). Panel A averages each variable over the two years before the coup ($t-2$ to $t-1$). Panel B is the change from that pre-coup average to the two-year post-coup average ($t+1$ to $t+2$). Panel C reports the share of attempts of each coup type. $^*p < 0.05$ from a two-sided t-test of equality of means.

5.2 Classifying Coup Direction

Strategy 2 requires to sign the direction of a coup for every attempter, not only for successful ones, because we compare successful and failed coups that share the same intended direction. A successful coup reveals its direction through the realized post-coup shift in IPD_{ni}, but a failed coup produces no such shift.

We use a large language model (LLM), Anthropic's Claude Sonnet 4.6, to classify the Cold War ideological orientation of the coup leadership as pro-US, pro-Soviet, or unclear, based only on the identity of the plotters, their names, military rank, and the type of coup (military, civilian, or royal). Of 510 coup events, the model classifies 231 as pro-US and 81 as pro-Soviet, leaving 198 unclear, which we drop from the direction-dependent analysis.

This classification gives us the counterfactual orientation of the country's leadership,

$$\hat{o}_n \in \{\text{pro-US}, \text{pro-Soviet}\}, \tag{15}$$

but not yet the direction of the shift for a specific trading partner, since whether a given partner gains or loses distance also depends on where that partner already stood. We combine $\hat{o}_n$ with the

pre-coup ideal points of the coup country n and of each trading partner i to sign the predicted change,

$$\widehat{\Delta \text{IPD}}_{ni} < 0 \iff \begin{cases} \hat{o}_n = \text{pro-US} & \text{and } \text{IdealPoint}_{i,\text{pre}} > \text{IdealPoint}_{n,\text{pre}}, \text{ or} \\ \hat{o}_n = \text{pro-Soviet} & \text{and } \text{IdealPoint}_{i,\text{pre}} < \text{IdealPoint}_{n,\text{pre}}, \end{cases}$$

using each country's average ideal point in the year before the coup. Intuitively, a partner that already sits on the side the leadership is expected to move toward sees distance shrink, while a partner on the other side sees it grow, regardless of whether the coup actually succeeds.

Applying this to every attempt, successful and failed alike, splits the Strategy 2 sample into two pools, dyads predicted to gain political distance and dyads predicted to lose it, within which we compare successful to failed attempts. Trade should fall more for successful than failed attempts in the distance-increasing pool and rise more in the distance-decreasing pool, giving a directional counterpart to β_k^S in equation (13) for each pool.

5.3 Handling Multiple Coups per Country

Many countries in our sample experience more than one coup between 1955 and 1985, Bolivia, Iraq, and Sudan each see ten or more attempts. Estimating equation (11) or equation (13) as a single pooled two-way fixed effects regression across all of these events at once runs into a problem now well understood in the difference-in-differences literature: with staggered treatment timing, observations from a country's post-coup periods can implicitly serve as controls for a different, later-timed coup elsewhere in the panel, and these comparisons can enter with negative weight, biasing the estimated event-time coefficients (Goodman-Bacon, 2021). A related, more direct problem also arises when the same country experiences two coups close together in time, the post-period we would use to trace out the dynamic effect of the first coup then overlaps with the run-up to, or aftermath of, the second.

We address both problems with a stacked event study design, following Cengiz et al. (2019). Rather than estimating one pooled regression, we build a separate sub-panel, or stack, around each individual coup event, and then estimate the event-time coefficients on the pooled collection of stacks. Each stack contains the treated country's dyads over a fixed event window from $k = -4$ to $k = 10$ years relative to that specific coup, with event time recentered to account for the coup's timing within the year. That is, a coup occurring in the second half of the calendar year has event time shifted back by one year, so that $k = 0$ consistently denotes the first full year of realignment rather than a partial one.

Before building the stacks, we drop any coup event for which another coup involving the same country occurs within the following ten years, since that later coup would contaminate the earlier event's post-period. Only this uncontaminated subset of coups, 251 events, 133 successful and 118 failed, enters the stacked panel as treatment events.

Within each stack, we use a dyad-by-event fixed effect rather than a single dyad fixed effect

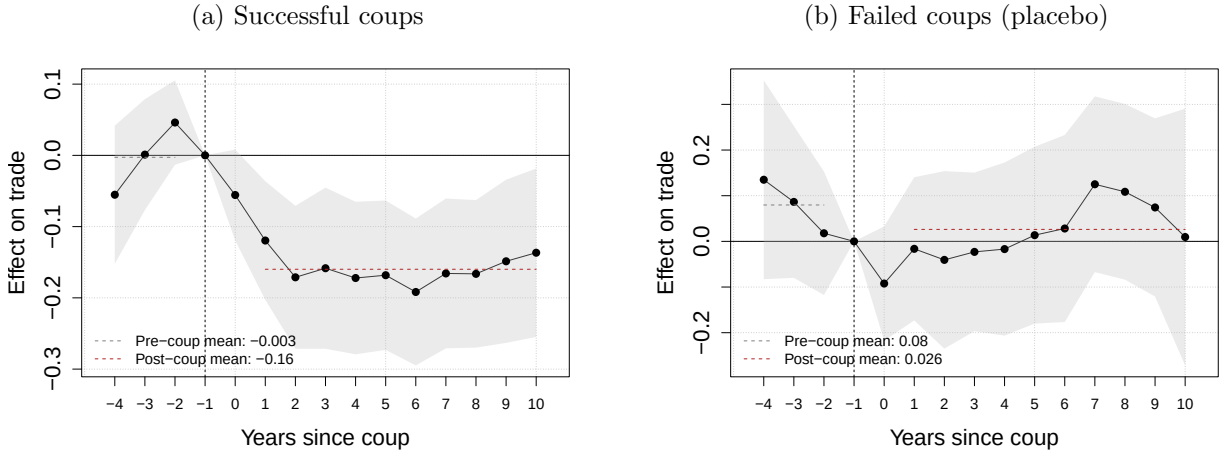
shared across the whole pooled sample. This matters because the same trading relationship can appear in more than one stack, if a country's partner separately experiences its own coup at a different time, and without event-specific dyad fixed effects that partner's already-treated observations in one stack could act as an invalid control in another, reintroducing the same contamination problem the stacking design is meant to solve. The exporter-year and importer-year fixed effects γ_{it} and δ_{nt}, by contrast, are defined on true calendar years rather than event time, since different stacks can span overlapping real years and only calendar-year fixed effects absorb the country-year shocks those terms are meant to capture. We cluster standard errors at the level of the true underlying dyad, accounting for the same trading relationship appearing in multiple stacks. We apply this procedure identically to Strategy 1 and Strategy 2.

6 Results

6.1 Strategy 1: Coups versus No Coups

We estimate equation (11) using the stacked design described in Section 5.3. Of the 251 coup events that survive the contamination filter, 133 are successful and enter the treatment stacks. After matching to available trade data, the estimation sample spans 73 event stacks. As a placebo, we estimate the identical specification on the 118 failed coups that survive the same filter, which span 56 event stacks once matched to trade data. Because a failed coup produces no realized shift in political alignment, ΔIPD_{ni} for these dyads reflects only the ordinary, non-coup-driven variation in ideal points, so a null result here is what equation (12) predicts.

Figure 7: Effect of Political Realignment on Trade Around Coups



Note: Each panel plots $\hat{\beta}_k$ from equation (11), the effect on trade of a one-unit increase in political distance k years after the coup, relative to $k = -1$. Shaded regions are 95% confidence intervals from standard errors clustered by dyad. Dashed lines show the average pre-coup ($k < -1$) and post-coup ($k \geq 0$) coefficient.

For successful coups, the coefficients are close to zero and individually insignificant in the three years before the coup ($k = -4, -3, -2$: -0.055, 0.001, 0.046). The coefficient at $k = 0$ is negative but only marginally significant ($p = 0.087$), from $k = 1$ onward the coefficients are negative and

individually significant, stabilizing between -0.14 and -0.19 log points from $k = 4$ through $k = 10$, and the joint test over $k = 0$ through $k = 5$ rejects the null of no effect ($p = 0.025$). A one-unit increase in political distance is therefore associated with roughly 13 to 17 percent less trade several years after a successful coup, in the direction implied by equation (5).

The failed-coup placebo shows no such pattern. Every coefficient, before and after the attempt, is individually insignificant, and both joint tests fail to reject the null of no effect (pre-trend $p = 0.636$, post-period $p = 0.800$). This is consistent with equation (12): dyads that happen to gain or lose political distance around a coup that does not occur show no differential trend, which is what we would expect if the post-coup decline in trade among successful coups reflects the realignment itself rather than a feature of the estimation design.

Heterogeneity by Partner Type. We repeat the successful-coup event study separately for three partner groups: non-aligned partners that belong to neither bloc, partners that belong to a formal bloc (NATO or the Warsaw Pact), and partners that are themselves a superpower (the United States or the Soviet Union).[5] The dyad-event samples differ in size, 25,969 for non-aligned partners, 6,476 for bloc partners, and 375 for superpower partners.

Figure 8 shows similar qualitative patterns in every group but a sharp difference in strength. For non-aligned partners the post-coup coefficients are small and the joint post-period test does not reject the null of no effect ($p = 0.316$). For bloc partners the joint post-period test rejects the null decisively ($p = 0.001$), with coefficients from $k = 2$ onward ranging from -0.19 to -0.32 log points. For superpower partners the joint post-period test also rejects the null decisively ($p < 0.001$), and the coefficients are substantially larger, jumping from -0.48 at $k = 1$ to as much as -0.87 at $k = 2$ and remaining between -0.69 and -0.85 for the rest of the post period. Political realignment therefore moves trade primarily through a country's relationship with blocs and with the superpowers themselves, with little detectable effect on its relationships with non-aligned partners.

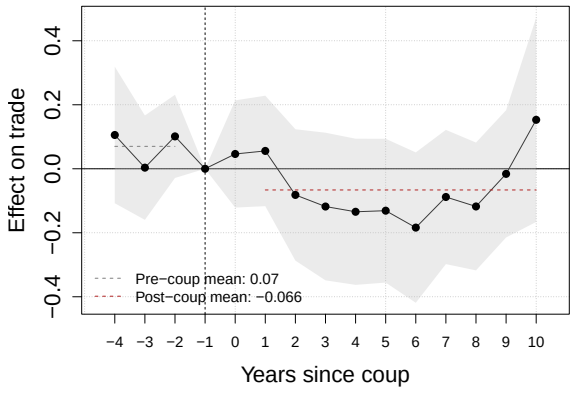
Comparison to Naive Gravity Estimates. We compare the coup-identified estimates to a purely correlational gravity regression of trade on the one-year lagged change in political distance, estimated on the same trade panel and with the same exporter-year and importer-year fixed effects, but with a plain dyad fixed effect and no coup-based identification. To make the two specifications comparable, we collapse the coup-identified event study into a single post-period coefficient, an interaction of a post-coup indicator with the realized alignment shock ΔIPD_{ni}, rather than the full set of event-time dummies in equation (11). Table 2 reports both specifications, pooled and separately by partner type.

Pooled across all partners, the coup-identified estimate is smaller in magnitude than the naive gravity regression, -0.154 against -0.193. This is consistent with the identification concern that motivates our design. A purely correlational estimate cannot rule out reverse causality, whereby dyads that already trade heavily subsequently grow more politically aligned, or omitted shocks that move both trade and political distance together, and either channel would tend to inflate the naive gravity coefficient relative to the true causal effect. The partner-type comparison sharpens

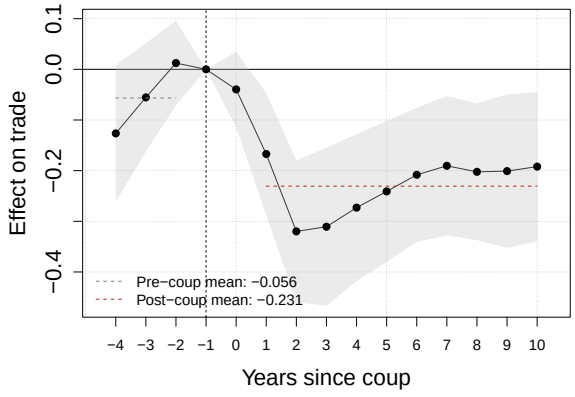
[5] These groups can overlap in principle, though in practice a bloc member is rarely also coded as a superpower.

Figure 8: Effect of Political Realignment on Trade, by Partner Type

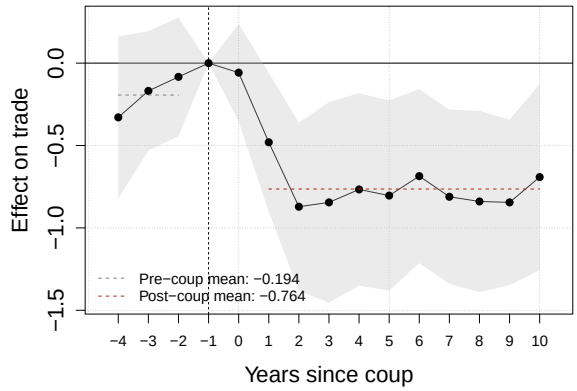
(a) Non-aligned partners



(b) Bloc partners



(c) Superpower partners



Note: Each panel plots $\hat{\beta}_k$ from equation (10), estimated separately on the subsample of dyads in each partner group, for successful coups only. Shaded regions are 95% confidence intervals from standard errors clustered by dyad.

this picture. For neutral partners the naive gravity coefficient is sizable and significant (-0.240), while the coup-identified estimate is smaller in magnitude and only marginally significant (-0.122, $p < 0.10$), the same pattern as in the pooled comparison and consistent with reverse causality or omitted variables inflating the correlational estimate for these dyads. For bloc and superpower partners the opposite pattern holds, the coup-identified estimate is larger in magnitude than the naive correlation for both (bloc, -0.186 against -0.142, superpower, -0.546 against -0.447), so for these partners the naive correlation, if anything, understates the true effect of realignment on trade. The superpower coefficient implies that a one-unit increase in political distance reduces trade with a superpower by about 42 percent, a magnitude similar to Glick and Taylor (2010)'s estimates of the trade effects of interstate war: trade between newly warring countries falls by about 83 percent during the conflict itself and remains roughly 42 percent below its counterfactual level five years after the war ends. Political estrangement from a superpower, short of open conflict, is associated with a comparable order of magnitude of trade disruption.

Table 2: Naive Gravity versus Coup-Identified Difference-in-Differences

Dependent Variable:	Bilateral Trade Flows			
	All	Neutral	Bloc	Superpower
Model:	(1)	(2)	(3)	(4)
Panel A: Gravity Variables				
IPD_{t-1}	-0.193***	-0.240***	-0.142***	-0.447***
	(0.022)	(0.042)	(0.027)	(0.126)
Fixed-effects				
Dyad FE	Yes	Yes	Yes	Yes
Exporter-Year FE	Yes	Yes	Yes	Yes
Importer-Year FE	Yes	Yes	Yes	Yes
Fit statistics				
Observations	425,783	251,840	173,137	15,706
Pseudo R^2	0.98727	0.95040	0.98874	0.99558
Panel B: DiD Variables				
Post $\times$ ΔIPD	-0.154***	-0.122*	-0.186***	-0.546***
	(0.039)	(0.069)	(0.053)	(0.132)
Fixed-effects				
Dyad $\times$ Coup Event FE	Yes	Yes	Yes	Yes
Exporter-Year FE	Yes	Yes	Yes	Yes
Importer-Year FE	Yes	Yes	Yes	Yes
Fit statistics				
Observations	147,504	96,154	49,307	3,008
Pseudo R^2	0.97555	0.95665	0.98012	0.99277

Note: Panel A regresses trade on the one-year lagged change in political distance without any coup-based identification, using a dyad fixed effect together with exporter-year and importer-year fixed effects. Panel B collapses the coup-identified event study of equation (10) into a single post-period coefficient, using a dyad-by-event fixed effect together with exporter-year and importer-year fixed effects. Standard errors, in parentheses, are clustered by dyad in both panels. Clustered (dyad) standard-errors in parentheses. Signif. Codes: ***: 0.01, **: 0.05, *: 0.1.

Tariff Equivalents. Using equation (7) and the trade elasticity $\varepsilon = 5.03$ estimated by Head and Mayer (2014), we convert the coup-identified coefficients in Panel B of Table 2 into the ad valorem tariff that would raise trade costs by an equivalent amount. Pooled across all partners, a one-unit increase in political distance corresponds to a tariff equivalent of 3.1 percent. The partner-type estimates diverge sharply: 2.5 percent for neutral partners, a modest effect consistent with the underlying coefficient's only marginal significance, 3.8 percent for bloc partners, and 11.5 percent for superpower partners. A coup that pushes a superpower relationship toward political estrangement therefore raises trade costs by roughly three times as much as an equivalent shift with a bloc partner, and more than four and a half times as much as with a neutral one.

6.2 Strategy 2: Success versus Failure

We estimate equation (13) on the direction-matched pools constructed in Section 5.2, comparing successful to failed coup attempts within each pool. Of the 152 coup events that survive the contamination filter, the LLM classifies 75 as pro-US, 35 as pro-Soviet, and 42 as unclear, which we drop from the direction-dependent analysis. The remaining 110 events split into 69 successful (50 pro-US, 19 pro-Soviet) and 41 failed (25 pro-US, 16 pro-Soviet). We split the sample by partner type into neutral and bloc partners, with the United States and the Soviet Union included in the bloc group, since too few dyads have a superpower as the direct trading partner to estimate that group on its own. Table 3 reports the collapsed pre/post difference-in-differences, with the post period spanning the five years following the attempt, for both direction pools and partner-type group.

Table 3: Success versus Failure: Collapsed Difference-in-Differences, by Partner Type

Dependent Variable:	Bilateral Trade Flows		
	All	Neutral	Bloc
Model:	(1)	(2)	(3)
Panel A: Increasing distance			
Variables			
Post × Success	-0.104*	0.068	-0.441***
	(0.057)	(0.099)	(0.151)
Fixed-effects			
Dyad × Coup Event FE	Yes	Yes	Yes
Exporter-Year FE	Yes	Yes	Yes
Importer-Year FE	Yes	Yes	Yes
Fit statistics			
Observations	70,123	55,747	14,117
Pseudo R^2	0.97921	0.97790	0.98332
Panel B: Decreasing distance			
Variables			
Post × Success	-0.034	0.100	-0.165
	(0.083)	(0.074)	(0.159)
Fixed-effects			
Dyad × Coup Event FE	Yes	Yes	Yes
Exporter-Year FE	Yes	Yes	Yes
Importer-Year FE	Yes	Yes	Yes
Fit statistics			
Observations	51,545	33,230	18,016
Pseudo R^2	0.99281	0.98463	0.99352

Note: Panel A restricts to dyads predicted to gain political distance from the attempt, Panel B to dyads predicted to lose it, following the direction classification of Section 5.2. Post × Success is the coefficient on the interaction of a post-attempt indicator with a successful-coup dummy, estimated by PPML with dyad-by-event, exporter-year, and importer-year fixed effects. Standard errors, in parentheses, are clustered by dyad. Signif. Codes: ***: 0.01, **: 0.05, *: 0.1.

In the increase-distance pool, a successful coup lowers trade relative to a failed one, pooled across all partners the coefficient is -0.104, marginally significant ($p < 0.10$). This effect is concentrated among bloc partners, where the coefficient is more than four times as large and highly significant (-0.441, $p < 0.01$), while for neutral partners the estimate is small, positive, and statistically indistinguishable from zero. The decrease-distance pool shows no comparable pattern in any column, pooled or by partner type, coefficients range from -0.165 to 0.100 and none approach conventional significance.

A successful coup that is expected to pull a country's alignment closer to a partner does not translate into higher trade relative to a failed attempt, even where a comparable move in the other direction produces a sharp, bloc-driven decline. This asymmetry is consistent with trade relationships being easier to destroy than to build. Existing supply chains and contracts can unwind quickly once political alignment deteriorates, while establishing new trade relationships after a favorable realignment may plausibly take longer.

6.3 Robustness

This section examines whether the trade response to political realignment documented in Section 6 depends on a particular data source or specification choice.

6.3.1 Excluding Superpower Interference

A natural concern with our baseline results is that some successful coups were not spontaneous domestic events but were themselves directly orchestrated by the United States or the Soviet Union. If a superpower installs a friendly government, the subsequent jump in bilateral trade with its patron may reflect direct sponsorship or reconstruction support rather than the arm's-length political-realignment channel we aim to isolate. We therefore test whether our baseline coefficient survives the exclusion of coups with credible evidence of direct foreign backing.

The natural existing source for this, Berger et al. (2013a)'s dataset of superpower-backed interventions, is not built for this purpose. It records country-year episodes of ongoing superpower support for a regime, not backing of any specific coup event, so a country can be flagged as under superpower influence for decades after an episode's onset. Merging it directly onto our coup events therefore risks misattributing foreign backing. Poland's 1981 martial law, for instance, would be flagged as Soviet-backed only because it falls inside a Soviet intervention episode whose onset Berger et al. (2013a) dates to 1947, thirty-four years earlier and unrelated to the specific decision to impose martial law.

To assess foreign backing at the level of the individual coup, we instead ask a large language model (Claude Sonnet 4.6), acting as a Cold War historian, whether there is credible documented evidence, declassified intelligence records, participant testimony, or a strong historian consensus, that the United States or the Soviet Union directly assisted, funded, or orchestrated each specific coup attempt in our sample. The prompt explicitly instructs the model to distinguish this from an undocumented allegation, since a claim that a superpower was behind a given coup is one

of the most common tropes in twentieth-century political history and is frequently asserted with no real evidentiary basis. The model classifies each coup as "foreign backed", "no evidence", or "unclear", together with a confidence tier, "high", "medium", or "low", reflecting the strength of the underlying evidence. We apply this classification to the full universe of 546 coup events in the underlying data. Appendix A.2 reports the complete classification (Table A.2) and its geographic distribution by power (Figure A.1).

Table 4: Coup-Identified DiD, Excluding Superpower-Backed Coups

Dependent Variable:	Bilateral Trade Flows		
	All	Excl. High	Excl. High + Medium
Model:	(1)	(2)	(3)
Variables			
Post × ΔIPD	-0.154***	-0.146***	-0.145***
	(0.039)	(0.042)	(0.044)
Fixed-effects			
Dyad × Coup Event FE	Yes	Yes	Yes
Exporter-Year FE	Yes	Yes	Yes
Importer-Year FE	Yes	Yes	Yes
Fit statistics			
Observations	147,504	142,683	120,396
Pseudo R^2	0.97555	0.97607	0.97209

Note: Column (1) reports our baseline coefficient using all 133 successful, uncontaminated coup events. Columns (2) and (3) progressively exclude coups the LLM classifies foreign backed at high confidence, and at high or medium confidence. No coup in our sample is classified foreign backed at low confidence only, so there is no additional column for that threshold. All columns use the collapsed pre/post specification of Panel B of Table 2, with dyad-by-event, exporter-year, and importer-year fixed effects. Standard errors, in parentheses, are clustered by dyad. Signif. Codes: ***: 0.01, **: 0.05, *: 0.1.

Of the 133 successful coups, the model flags 6 as foreign-backed at high confidence and 15 at medium confidence, 21 in total. Table 4 shows that excluding these events leaves our estimate essentially unchanged: -0.154 at baseline, -0.146 excluding high-confidence foreign-backed coups, and -0.145 excluding both high- and medium-confidence cases, all significant at the 1 percent level. The trade response to political realignment we document is therefore not concentrated among coups a superpower directly engineered. It holds with essentially the same magnitude among the large majority of coups for which we find no credible evidence of direct foreign involvement.

6.3.2 Alternative Measure of Political Alignment

As an alternative measure of bilateral political alignment, we use the geopolitical score recently constructed by Fan (2025) and Fan et al. (2025), built from the Global Geopolitical Events database. This database applies a large language model to code significant bilateral political events between all pairs of United Nations member states from 1950 to 2024, drawing on government sources, international organizations, and news archives. Each event receives a Goldstein score between

negative ten and positive ten, reflecting its degree of conflict or cooperation, and these scores are aggregated into a dynamic yearly measure for each country pair. Unlike our baseline alignment measure, which is based on similarity in United Nations General Assembly voting, this measure is constructed directly from coded political actions such as trade policy changes, diplomatic engagements, and security incidents, providing an independent check on our results. For comparability with our baseline distance measure, we invert the sign of the geopolitical score so that higher values correspond to greater political distance. The geopolitical score is available for 75 percent of the dyad-years in our trade panel.

We reestimate equation (10) with this measure in place of ΔIPD_{ni}, holding fixed the same contamination filter, event window, and stacking procedure described in Section 5.3, and repeat the partner-type split of Section 6.1. Figure A.2 in the Appendix reports the results.

The alternative measure confirms our baseline finding. Bloc partners show no pre-trend ($p = 0.737$) and a strongly significant post-period effect ($p < 0.001$), with coefficients ranging from -0.51 to -1.13 log points from $k = 1$ through $k = 10$. Superpower partners show an equally strong post-period effect ($p < 0.001$), with much larger coefficients, from -1.93 at $k = 1$ to as much as -3.52 at $k = 5$. For neutral partners, where our baseline event study detected no effect, the coefficients now turn negative from $k = 2$ onward and reach as much as -0.83 log points by $k = 10$, and the joint post-period test rejects the null of no effect ($p = 0.020$), even though most individual coefficients are not significant on their own. If anything, this alternative measure strengthens our main finding: political realignment is associated with less trade across all three partner groups, most strongly for bloc and superpower partners.

6.3.3 Alternative UNGA Idealpoints

We further verify that our results are not sensitive to the choice of ideal-point measure used to construct the political alignment dose. In addition to our baseline measure, which uses ideal points estimated from all United Nations General Assembly votes, we reconstruct the dose using ideal points restricted to salient foreign-policy votes only and using an alternative legacy estimation of ideal points. Re-estimating our stacked event study with each alternative measure, for both successful coups and the failed-coup placebo, yields coefficients that are quantitatively and statistically very similar to our baseline results. This holds regardless of which measure is used, indicating that our findings do not depend on a particular choice of ideal-point estimation. Figure A.3 in the Appendix reports the results.

6.3.4 Alternative Trade Data

We further validate our results using an alternative trade data source, the CEPII Gravity database, in place of the TRADHIST data used in our baseline specification. Bilateral trade flows are constructed by combining COMTRADE and IMF DOTS reports, prioritizing values reported by the importing country over the exporting country, since import statistics are generally considered more reliable due to customs duty enforcement. Because CEPII Gravity offers substantially sparser

historical coverage than our baseline trade data, particularly before 1962, the estimation sample shrinks considerably once we require a matched Gravity observation for each dyad-year. Re-estimating our stacked event study on this reduced sample, we recover coefficients of the same sign and similar magnitude as our baseline results, though the post-coup effect no longer reaches conventional levels of statistical significance. We interpret this as a consequence of reduced statistical power from the smaller sample rather than evidence against our baseline finding. Figure A.4 in the Appendix reports the results.

6.3.5 Alternative Time Window

Because the contamination filter looks forward over the same horizon as the event window, our estimation sample is sensitive to this choice. A shorter window is less restrictive about what counts as a nearby contaminating coup, so it changes both which coups survive the filter and how many years of post-coup trade enter the stacked panel. As a further check, we therefore narrow the event window from $k = -4, \ldots, 10$ to $k = -3, \ldots, 5$. Of the 510 coup events, 274 survive the shorter contamination filter, 113 successful and 161 failed. Figure A.5 in the Appendix reports the results.

Our main results survive this alternative window. For successful coups, the pre-trend coefficients at $k = -3$ and $k = -2$ remain jointly insignificant ($p = 0.907$), and the post-period coefficients turn negative and significant from $k = 2$ onward, ranging from -0.15 to -0.24 log points, with the joint post-period test strongly rejecting the null of no effect ($p < 0.001$). The failed-coup placebo again shows no pattern, with neither the pre-trend nor the post-period coefficients jointly significant (pre-trend $p = 0.325$, post-period $p = 0.472$).

6.3.6 Detrending Political Alignment

We further address the concern that the observed post-coup decline in trade could reflect a secular drift in ideal-point distance from the United States rather than coup-induced realignment. Because ideal-point distance trends gradually over the sample period (see Figure 1) independent of any single coup, we detrend the alignment measure by subtracting each year's cross-sectional mean ideal-point distance from every observation before constructing the pre- and post-coup dose. This year-demeaning removes the average secular drift common to the whole cross-section, isolating each dyad's deviation from that year's typical change. The detrended dose is highly correlated with the raw dose (correlation of 0.93) and re-estimating our stacked event study with this alternative dose yields coefficients nearly identical to our baseline results. This indicates that the secular trend in political distance shifts all coup events by a similar amount and therefore does not differentially confound our identification, which relies on cross-sectional variation in the realized alignment shock across coup events. Figure A.7 in the Appendix reports the results.

7 Heterogeneity

We next examine whether the trade effects documented in Section 6 extend beyond the Cold War and how they vary across sectors. The analyses that follow use identification Strategy 1, which exploits the broader comparison between successful coups and no-coup countries and therefore provides greater statistical power than the more restrictive success-versus-failure specification of Strategy 2.

7.1 Post-Cold War Effects

We first ask whether coup-induced political realignments continue to affect trade after the end of the Cold War. We re-estimate equation (11) using coups and bilateral trade flows from the post-Cold War period (year $\geq$ 1990), while otherwise maintaining the same empirical design. Of the 251 coup events that survive our contamination filter, 133 are successful and enter the treatment stacks, spanning 61 event stacks once matched to post-Cold War trade data.

We find no evidence of a systematic trade response. Using our baseline measure of political alignment, United Nations ideal point distance, the post-coup coefficients are small and jointly indistinguishable from zero (joint Wald $p = 0.777$). Appendix Figure A.8 reports the corresponding event-study estimates.

A potential concern is that UN ideal point distance may be less informative about geopolitical alignment after the collapse of the Cold War's bipolar structure. We therefore repeat the analysis using the geopolitical score developed by Fan (2025) and Fan et al. (2025), which is constructed from coded bilateral political events rather than UN voting records and does not rely on a bipolar conception of geopolitical alignment. The results are again null: the post-coup coefficients are jointly indistinguishable from zero (joint Wald $p = 0.990$), as shown in Appendix Figure A.9.

Taken together, these results suggest that the trade effects we identify during the Cold War do not generalize to coup-induced political realignments in the post-Cold War period. This contrast is consistent with the Cold War's bipolar structure amplifying the economic consequences of political realignment, as competing superpowers had both the incentives and the instruments to reorganize economic relationships along geopolitical lines.

7.2 Sector-Level Effects

We next ask whether the trade response to political realignment is concentrated in particular sectors. No single source provides sector-level bilateral trade data with sufficiently broad Cold War coverage for both superpowers, so we draw on two complementary sources, one for each side. For the Soviet Union, we use the Soviet trade yearbooks digitized for this paper and described in Section 3, which report bilateral trade directly from Soviet records. For the United States, we use the NBER-UN World Trade Flows data (Feenstra et al., 2005), the standard source for historical disaggregated bilateral trade. Together, the two sources let us examine the sectoral composition of

the trade response for both superpowers, each drawn from the best available source for that side of the relationship.

We classify bilateral trade into four broad categories common to both exercises, primary goods, mineral fuels, chemicals and manufactures, and machinery and transport equipment, together with an aggregate across all four. Restricting the sample to USSR-partner dyads and, separately, to USA-partner dyads, we estimate a collapsed pre/post version of our event-study specification separately for each category and for the aggregate,

$$X_{nst} = \exp\left(\beta_s \cdot \text{Post}_{nt} \cdot \Delta\text{IPD}_{n,h} + \gamma_t + \tilde{\alpha}_{n,\text{event}}\right) \eta_{nst}, \tag{16}$$

where X_{nst} denotes bilateral trade between coup country n and hegemon $h \in \{\text{USSR}, \text{USA}\}$ in category s in year t, estimated separately for the USSR-partner and USA-partner samples.

Table 5: Sector-Level Response of Soviet Bilateral Trade to Coup-Induced Alignment Shifts

Dependent Variable:	Sector Trade (USD)				
Model:	All Sectors (1)	Primary Goods (2)	Mineral Fuels (3)	Chemicals & Manufactures (4)	Machinery & Transport (5)
Variables					
Post × ΔAlignment	-0.697***	-0.547***	-0.374	-0.065	-0.841***
	(0.165)	(0.124)	(0.410)	(0.313)	(0.167)
Fixed-effects					
Dyad × Coup Event FE	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes
Fit statistics					
Observations	611	295	407	449	390
Pseudo R^2	0.97952	0.96094	0.89898	0.97654	0.98045

Note: Each column reports $\hat{\beta}_s$ from equation (16), estimated via PPML on the sample of USSR-partner dyad-events around successful coups, either for one category or for the aggregate across all four ("All Sectors"). Clustered (dyad) standard-errors in parentheses. Signif. Codes: ***: 0.01, **: 0.05, *: 0.1.

Tables 5 and 6 show that political distance reduces trade across almost all categories, with the aggregate response significant for both hegemons. The "All Sectors" coefficient is negative and significant both for the Soviet Union (-0.697, $p < 0.001$) and for the United States (-0.158, $p = 0.047$). At the individual-category level, roughly half of the categories reach significance on each side, though not the same ones. For the Soviet Union, the decline is concentrated in machinery and transport equipment (-0.841, $p < 0.001$) and primary goods (-0.547, $p < 0.001$), while mineral fuels (-0.374, $p = 0.361$) and chemicals and manufactures (-0.065, $p = 0.836$) show no significant response. For the United States, the decline is instead concentrated in chemicals and manufactures (-0.225, $p = 0.015$) and, at the 10 percent level, machinery and transport equipment (-0.309, $p = 0.062$), while primary goods (-0.098, $p = 0.320$) and mineral fuels (0.309, $p = 0.259$) show no significant response.

Table 6: Sector-Level Response of U.S. Bilateral Trade to Coup-Induced Alignment Shifts

Dependent Variable:	Sector Trade (USD)				
	All Sectors	Primary Goods	Mineral Fuels	Chemicals & Manufactures	Machinery & Transport
Model:	(1)	(2)	(3)	(4)	(5)
Variables					
Post × ΔAlignment	-0.158**	-0.098	0.309	-0.225**	-0.309*
	(0.080)	(0.099)	(0.274)	(0.093)	(0.166)
Fixed-effects					
Dyad × Coup Event FE	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes
Fit statistics					
Observations	991	991	774	988	940
Pseudo R^2	0.94810	0.94707	0.90297	0.95306	0.94921

Note: Each column reports $\hat{\beta}_s$ from equation (16), estimated via PPML on the sample of USA-partner dyad-events around successful coups, either for one category or for the aggregate across all four ("All Sectors"). Clustered (dyad) standard-errors in parentheses. Signif. Codes: ***: 0.01, **: 0.05, *: 0.1.

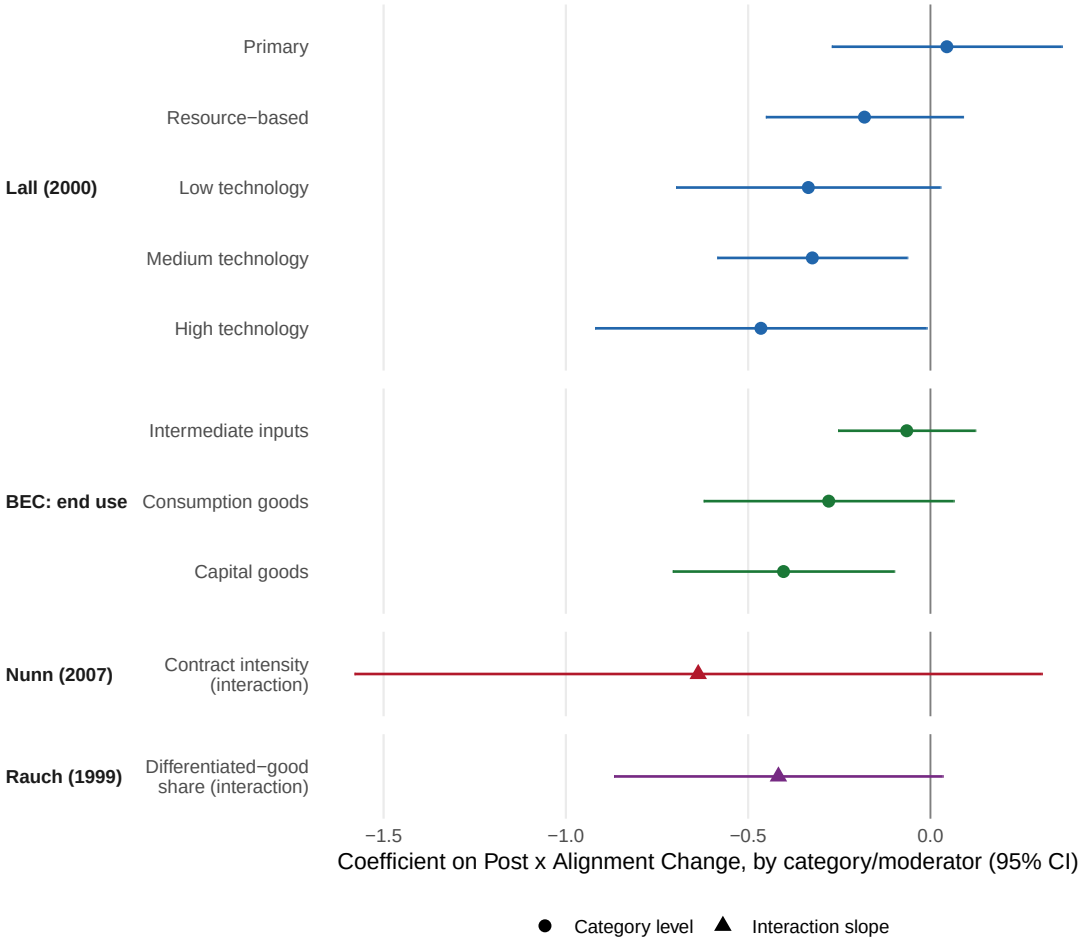
Product-Level Classification Tests. The four-category split above is coarse. The NBER-UN data's underlying product-level detail lets us ask a sharper version of the same question. That is, within the USA-partner sample, which kinds of trade are most exposed to political realignment. We combine the trade panel with five external classifications of traded goods, each targeting a different notion of exposure: revealed comparative advantage and product complexity, from the Growth Lab's Atlas of Economic Complexity (Hausmann et al., 2014), test whether the response is stronger in goods the partner is naturally suited to produce or that require sophisticated productive capabilities. Rauch (1999)'s distinction between organized-exchange, reference-priced, and differentiated goods tests whether goods that require relationships, information, and matching are more exposed than standardized commodities. Nunn (2007)'s industry-level contract-intensity measure asks the same question from the input side, whether industries relying on relationship-specific intermediate inputs see a larger decline. The UN's Broad Economic Categories test whether the decline concentrates in capital goods, intermediate inputs, or consumer goods. Finally, UNCTAD's Lall (2000) technological classification tests whether the decline grows with a good's technological sophistication. For each classification we estimate a product-level analogue of equation (16),

$$X_{npt} = \exp\left(\beta \cdot \text{Post}_{nt} \cdot \Delta\text{IPD}_{n,\text{USA}} + \theta \cdot \text{Post}_{nt} \cdot \Delta\text{IPD}_{n,\text{USA}} \cdot Z_p + \gamma_t + \tilde{\alpha}_{n,\text{event}} + \mu_p\right) \eta_{npt}, \quad (17)$$

where X_{npt} is USA-partner bilateral trade in SITC2 product p, μ_p a product fixed effect, and Z_p the classification measure (revealed comparative advantage, product complexity, Rauch's differentiated-good share, or Nunn's contract intensity). Where a classification is instead a genuine partition of the product space (Broad Economic Categories or Lall's technology tiers), we replace

the single interaction with a fully saturated set of category-specific dose coefficients, the same design we use for the partner-type heterogeneity reported elsewhere in the paper. Full construction detail and all underlying tables are reported in Appendix A.15.

Figure 9: Sector/Product Classification Tests: Summary of Coefficients



Note: Point estimates and 95% confidence intervals from the Rauch, Nunn, Broad Economic Category, and Lall classification tests described in the text (comparative advantage and complexity omitted, see Appendix A.15 for that result). Triangles are single interaction-slope coefficients ($\hat{\theta}$ in equation (17)), circles are category-specific dose coefficients from the fully saturated designs. All estimates are from the USA-partner sample.

Figure 9 summarizes the results. The same pattern emerges across all four independently constructed classifications. Homogeneous, commodity-like, or low-technology trade is largely unaffected by political distance. Lall's Primary category is statistically indistinguishable from zero, and BEC's Intermediate inputs category is the smallest and least significant of the three end-use groups. Trade in relationship-dependent or technologically sophisticated goods declines the most. Rauch's differentiated goods, Nunn's contract-intensive industries, BEC's Capital goods, and Lall's High-technology manufactures all show the largest point estimates, and Lall's five categories trace out a near-monotonic gradient from Primary to High technology. Separately, using comparative advantage, we find that the trade response to realignment is amplified, in both directions, in sectors where

the partner itself has a comparative advantage, consistent with a standard trade-cost/integration channel (see details in Appendix A.15). Taken together, four independently sourced classifications point in the same direction: political realignment does not reduce trade uniformly across the economy, it falls hardest on trade that depends on trust, relationships, and sophisticated productive capability, and least on trade in standardized, easily substitutable commodities.

8 Mechanisms

Sections 6 and 7 establish that political realignment causes a large, persistent decline in bilateral trade, concentrated in the Cold War and strongest for relationships with the superpowers themselves. This reduced-form relationship is silent, however, on the specific channels through which political distance translates into lower trade. The appropriate policy response to political estrangement, and its welfare consequences, differ substantially depending on whether the trade decline reflects government policy tools such as aid and sanctions, or broader private-sector responses to political risk that are harder to target. We therefore ask through which concrete channels political realignment moved trade. We focus on foreign aid and sanctions, the two instruments of Cold War economic statecraft for which systematic, dyad-year data exist throughout our sample period. Other channels may also matter, including changes in shipping and insurance, firms' perceptions of political risk, or informal government pressure, and we return to this question after presenting the aid and sanctions results below.

8.1 Foreign Aid

Foreign aid was an important tool of superpower influence during the Cold War. Both the United States and the Soviet Union used aid strategically to reward allies and influence the political orientation of recipient countries (Meyer and Wesseler, 2026). Aid can also directly shape bilateral trade, particularly when assistance finances imports from the donor country or supports projects that rely on donor-country goods, equipment, and expertise (Baldwin, 1985; Pettersson and Johansson, 2013). Changes in aid following a political realignment may therefore provide one channel through which political alignment affects bilateral trade. We test this mechanism by asking whether coup-induced realignments led the superpowers to reallocate foreign assistance toward countries that became politically closer and away from those that became more distant.

To study this channel, we assemble bilateral aid data for both superpowers. For Soviet aid, we digitize declassified CIA files documenting roughly 4,000 Communist-bloc economic and military aid projects to developing countries between 1954 and 1990 (CIA, 1955-86).[6] Economic aid is recorded at the individual project level, with each entry listing the donor, recipient, date, project description, and the value extended and drawn. Military aid is recorded as an annual donor-recipient total, split by financing instrument.

[6]Portions of these data have also been used by Rai (1980), Asmus et al. (2018), Horn et al. (2020), and Meyer and Wesseler (2026). We focus on Soviet aid, which accounts for 75% of total Communist assistance in the CIA data. Appendix A.7 describes the digitization, valuation, and classification of both aid datasets in full.

For U.S. aid, we use the State Department's Greenbook (*U.S. Overseas Loans and Grants*), which records annual obligations of loans and grants by recipient country and aid account from 1945 onward, along with a broad distinction between economic and military assistance.

To make the two sources comparable, we construct a common classification and assign aid to four categories: military, food and humanitarian assistance, education and technical assistance, and general finance and other assistance.[7] We aggregate both series to the recipient-year level and convert all values to constant 2011 U.S. dollars. The resulting data cover aid from both superpowers to more than 120 recipient countries over the Cold War.

We first ask whether aggregate aid responds to the same coup-induced alignment shocks that drive our trade results. We use a shorter event window of $k = -4, \ldots, 5$, focusing on the years in which aid is most likely to respond to political realignment. Of the 510 coup events, 274 survive the contamination filter under this window, of which 113 are successful and enter the treatment stacks, spanning 79 event stacks. We combine each superpower's economic and military aid into a single outcome at the recipient-year level and match aid from superpower $i \in \{\text{USA}, \text{RUS}\}$ to the corresponding coup-induced change in political distance, ΔIPD_{ni}. Stacking the U.S. and Soviet aid panels, we estimate

$$\text{Aid}_{nit} = \exp\left(\sum_{k \neq -1} \beta_k \cdot \mathbf{1}[t - t_0 = k] \cdot \Delta\text{IPD}_{ni} + \gamma_t + \tilde{\alpha}_{ni}\right) \eta_{nit}, \tag{18}$$

where Aid_{nit} is total aid received by coup country n from superpower i in year t, $\tilde{\alpha}_{ni}$ is the dyad-by-coup-event fixed effect described in Section 5.3, and η_{nit} is a multiplicative error term. Because the outcome is bilateral aid from a single superpower rather than bilateral trade, we include calendar-year fixed effects γ_t in place of the exporter-year and importer-year fixed effects in equation (11).

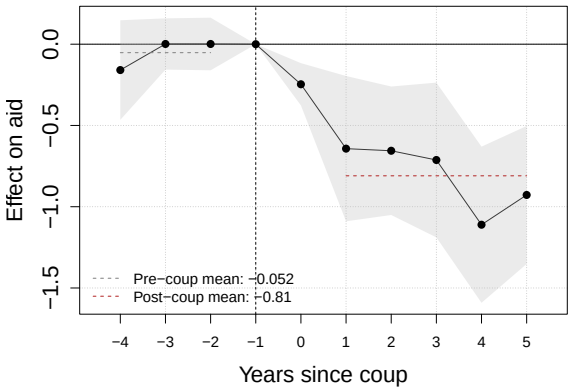
Panel (a) of Figure 19 shows that aid from the estranged superpower falls sharply after a coup. The pre-trend coefficients at $k = -4, -3, -2$ are small and individually insignificant (-0.159, 0.001, 0.001, all $p > 0.3$), while the coefficients from $k = 0$ onward are uniformly negative and, apart from $k = 1$, significant at the 1 percent level, ranging from -0.25 at $k = 0$ to as much as -1.11 at $k = 4$. Splitting combined aid into its economic and military components in Panel (b) shows the same pattern with a one-year lag on the military side. Economic aid falls immediately, its $k = 0$ coefficient (-0.363) is already significant, while military aid's $k = 0$ coefficient (-0.057) is not, and the decline only becomes significant from $k = 1$ onward. Both series reach similar magnitudes by $k = 4$ and $k = 5$, around -1.0 to -1.1 log points.

Disaggregating aid into military, food and humanitarian assistance, education and technical assistance, and general finance substantially reduces the number of non-zero observations available to identify each event-time coefficient. As a result, the flexible event-study specification becomes unstable or fails to converge for the sparsest categories. For the category-level analysis, we there-

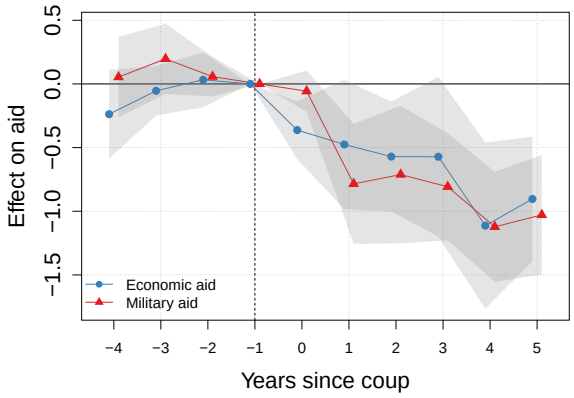
[7] For Soviet economic aid, we classify each of the roughly 2,550 individual project descriptions. For U.S. aid, the Greenbook records obligations by account (e.g. "Public Law 480 Title II Grants," "Peace Corps") rather than by individual project, so we classify the roughly 40 distinct account names and apply this mapping to all obligations recorded under each account.

Figure 10: Event Study of Foreign Aid Around Coups

(a) Combined (economic + military)



(b) Economic versus military



Note: Each panel plots $\hat{\beta}_k$ from equation (18). Panel (a) pools economic and military aid from both superpowers. Panel (b) reports economic and military aid separately, still pooled across both superpowers. Standard errors are clustered by dyad.

fore collapse the event study into a pre/post difference-in-differences specification with a single coefficient for each category,

$$\text{Aid}_{nit} = \exp\left(\beta \cdot \text{Post}_{nt} \cdot \Delta\text{IPD}_{ni} + \gamma_t + \tilde{\alpha}_{ni}\right) \eta_{nit}, \tag{19}$$

where $\text{Post}_{nt} = 1$ in the years following the coup. We estimate this specification separately for each of the four aid categories and for each superpower.

Table 7: Foreign Aid Response to Coup-Induced Alignment Shifts, by Category and Donor

	Military	Food & Humanitarian	General Finance & Other	Education & Tech.
Panel A: US Foreign Aid				
Post × ΔIPD	-0.866***	-0.387**	-0.518**	-0.008
	(0.212)	(0.182)	(0.230)	(0.245)
Observations	912	948	1,042	586
Pseudo R^2	0.920	0.834	0.814	0.789
Panel B: Soviet Foreign Aid				
Post × ΔIPD	0.406	-3.964***	-1.042*	–
	(0.292)	(0.065)	(0.543)	
Observations	328	90	574	–
Pseudo R^2	0.814	0.983	0.646	–
Dyad × Coup Event FE	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes

Note: Each column reports $\hat{\beta}$ from equation (19), estimated separately by aid category, for US aid (Panel A) and Soviet aid (Panel B). A dash indicates a category-donor combination with too few non-zero observations to estimate. Clustered (dyad) standard-errors in parentheses. Signif. Codes: ***: 0.01, **: 0.05, *: 0.1.

Table 7 shows that the decline is broad-based on the US side, and mixed on the Soviet side. US military aid falls the most (-0.87, $p < 0.001$), followed by general finance (-0.52, $p = 0.024$) and food and humanitarian aid (-0.39, $p = 0.034$), while education and technical assistance shows

no response at all (-0.01, $p = 0.97$). On the Soviet side, food and humanitarian aid falls sharply (-3.96, $p < 0.001$, though on only 42 non-zero observations) and general finance falls at the 10 percent level (-1.04, $p = 0.055$), but Soviet military aid moves in the opposite direction, a positive, statistically insignificant coefficient (0.41, $p = 0.164$) on a modest 154 non-zero observations.

As an additional check, we test whether formal aid sanctions respond to coup-induced alignment shifts using the aid-sanction data of Gibson et al. (2025).[8] Applying the same collapsed pre/post specification as above, we find no evidence that political realignment affects the imposition of U.S. aid sanctions ($\beta = 0.005$, $SE = 0.043$, $p = 0.913$). We cannot conduct the corresponding analysis for the Soviet Union: only five Soviet aid-sanction episodes appear in the data over our entire sample period, none of which falls within our estimation window. The aid-sanctions margin therefore provides no additional evidence beyond the changes in aid flows documented above. Appendix A.8 reports the results.

A remaining concern is that these results may reflect a U.S.-specific foreign-policy response rather than a broader pattern of Western disengagement. We address this using bilateral aid data from the OECD's DAC2a database, which reports disbursements by traditional Western donor countries beginning in 1960.[9] Fourteen of the Western bloc's eighteen members report usable pre-1990 disbursement data: Australia, Belgium, Canada, Denmark, France, (West) Germany, Italy, Japan, the Netherlands, Norway, Portugal, Spain, the United Kingdom, and the United States. We aggregate their disbursements into a single Western-bloc aid measure for each recipient-year. We then match this measure to each coup country's change in average political distance from Western-bloc members and estimate the same flexible event-study specification as in equation (18). Appendix Figure A.10 reports the results.

The same pattern emerges at the bloc level. The pre-coup coefficients at $k = -4, -3, -2$ are small and jointly indistinguishable from zero (joint Wald $p = 0.904$). After the coup, the coefficients are uniformly negative and become larger over time, from -0.05 at $k = 0$ to -0.87 at $k = 4$ ($p = 0.035$), and are jointly significant (joint Wald $p < 0.001$). Most individual post-coup coefficients, however, are not statistically significant at conventional levels. The decline in aid following political estrangement is therefore not specific to the United States, but extends to Western aid more broadly.

Taken together, these results show that foreign aid responds systematically to the same coup-induced political realignments that drive our trade results. Aid falls as recipient countries become more politically distant from a superpower, and the Western-bloc analysis shows that this response extends beyond U.S. foreign assistance alone. Combined with the close connection between foreign aid and bilateral economic relationships, these findings are consistent with changes in foreign assistance being one channel through which political realignment affects trade.

To gauge the economic magnitude of this channel, we combine our estimated aid response with an aid-to-trade elasticity from the literature. Averaging the post-coup coefficients in Panel (a) of

[8] We thank Yoto Yotov for sharing the data.

[9] Unlike U.S. and Soviet aid, the DAC2a data cannot be extended to the Eastern bloc. The data come from an OECD reporting system to which the Soviet Union did not report.

Figure 10 ($k = 0, \ldots, 5$) implies that a one-unit increase in political distance reduces superpower aid by 51 percent. Pettersson and Johansson (2013) estimate that a 10 percent increase in bilateral aid is associated with roughly 1 percent higher recipient exports to the donor, an aid-to-trade elasticity of 0.1. Combining these two estimates implies a 5.1 percent mechanical decline in trade through the aid channel alone, compared with the 16.9 percent decline implied by our main coup-identified estimate. On this back-of-envelope calculation, changes in foreign aid can account for roughly 30 percent of the trade response we document. We view this figure as suggestive rather than precise, Pettersson and Johansson (2013)'s elasticity is estimated on a modern (1990–2005), globally representative donor-recipient panel rather than on the Cold War superpowers specifically. Taken at face value, however, it suggests that foreign aid is an economically meaningful channel through which political realignment affects trade, not merely a directionally consistent one.

8.2 Sanctions

Sanctions are another potential instrument of Cold War statecraft, used to punish adversaries or induce changes in their behavior. We ask whether the same coup-induced political realignments that affect trade and foreign aid also lead to the imposition of new sanctions. We use the Global Sanctions Data Base (Felbermayr et al., 2020), which records the sender, target, year, and type of sanction, including trade, financial, travel, arms, military, and other sanctions.

For each sanction type, we construct an onset indicator equal to one when a sanction becomes active in a directed sender-target pair but was not active in the previous year. We then collapse this measure to the unordered dyad-year level, such that a new sanction in either direction counts as an onset. Unlike the aid analysis, we do not restrict the sample to superpower dyads, since sanctions are imposed by many countries throughout the Cold War. We therefore retain the full stacked panel described in Section 5.3 and estimate a collapsed pre/post specification,

$$\text{Onset}_{nit} = \beta \cdot \text{Post}_{nt} \cdot \Delta\text{IPD}_{ni} + \gamma_{it} + \delta_{nt} + \tilde{\alpha}_{ni} + \eta_{nit}, \tag{20}$$

where $\text{Onset}_{nit} = 1$ if a sanction of the given type becomes newly active between n and i in year t, $\text{Post}_{nt} = 1$ in the years following the coup, and γ_{it}, δ_{nt}, and $\tilde{\alpha}_{ni}$ are exporter-year, importer-year, and dyad-by-coup-event fixed effects as in equation (11). We estimate equation (20) by OLS separately for each sanction type.

Sanction onsets are rare, accounting for at most 0.3 percent of dyad-year observations for any individual sanction type, but they respond systematically to coup-induced changes in political distance as Table 8 shows. A one-unit increase in political distance raises the probability of a new sanction of any type by 0.16 percentage points ($p = 0.044$), relative to a baseline probability of 0.3 percent. The effect is concentrated in trade sanctions (0.22 percentage points, $p < 0.001$), travel restrictions (0.20 percentage points, $p < 0.001$), and other sanctions (0.18 percentage points, $p < 0.001$), while financial sanctions show no response (0.003 percentage points, $p = 0.957$). Arms and military sanctions, which we combine because neither can be estimated precisely on its own,

Table 8: Sanction Onset Response to Coup-Induced Alignment Shifts, by Type

Dependent Variable:	New Sanction					
	Any Type	Trade	Financial	Travel	Other	Arms & Military
Model:	(1)	(2)	(3)	(4)	(5)	(6)
Variables						
Post × ΔAlignment	0.002**	0.002***	0.00003	0.002***	0.002***	-0.01
	(0.0008)	(0.0005)	(0.0005)	(0.0004)	(0.0005)	(0.0004)
Fixed-effects						
Dyad × Coup Event FE	Yes	Yes	Yes	Yes	Yes	Yes
Exporter-Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Importer-Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Fit statistics						
Observations	134,300	134,300	134,300	134,300	134,300	134,300
R^2	0.43910	0.37891	0.20172	0.34400	0.41637	0.61391

Note: Each column reports $\hat{\beta}$ from equation (20), estimated separately by sanction type. Sanction data comes from the Global Sanctions Data Base (Felbermayr et al., 2020). Clustered (dyad) standard-errors in parentheses. Signif. Codes: ***: 0.01, **: 0.05, *: 0.1.

move in the opposite direction, though the effect is insignificant.

We next ask whether the increase in trade sanctions is quantitatively large enough to explain a meaningful share of the main trade effect. To do so, we combine two estimates. First, we replace the sanction-onset indicator with an indicator for whether a trade sanction is active in a given dyad-year. A one-unit increase in political distance raises the probability of an active trade sanction by 0.37 percentage points ($p = 0.002$), relative to a baseline incidence of 1.3 percent. Second, Felbermayr et al. (2020) estimate that an active trade sanction reduces bilateral trade by 14.5 percent in their preferred pair-fixed-effects specification. Combining these estimates implies a trade decline of approximately 0.06 percent through the formal trade-sanctions channel, compared with the 16.9 percent decline implied by our main coup-identified estimate. On this calculation, formal trade sanctions account for only about 0.3 percent of the overall trade response.

Thus, political realignment does lead to greater use of formal economic sanctions, but the magnitude of this response is far too small to explain the decline in bilateral trade. This suggests that most of the trade response operates through other channels rather than through the formal imposition of trade sanctions.

8.3 A Case Study Without Formal Barriers

Aid emerges as a meaningful channel, accounting for roughly 30 percent of the overall trade response, while formal trade sanctions contribute almost none of it. At the same time, a substantial share of the trade response remains unexplained by either channel. To explore whether political realignment can move trade even in the complete absence of formal policy instruments, we turn to a historical episode in which political relations deteriorated sharply without any accompany-

ing change in formal trade policy: the 1964 Johnson Letter and the subsequent deterioration in US-Turkey relations.

In June 1964, US President Lyndon B. Johnson sent a letter to Turkish Prime Minister İsmet İnönü warning that NATO might not defend Turkey against Soviet retaliation if Turkey proceeded with a planned military intervention in Cyprus. The letter was received negatively in Turkey and is widely regarded as an important turning point in US-Turkey relations, contributing to a more independent Turkish foreign policy in the years that followed. Importantly for our purposes, the deterioration in relations was not accompanied by a tariff, sanction, export control, or change in alliance commitment in either direction.[10] A declassified CIA assessment of Turkish reactions to the letter, reproduced in Appendix A.14, provides evidence that the episode represented a significant political shock. The appendix also reports complementary descriptive evidence from our gravity framework: the bilateral trade friction implied by the baseline gravity specification increases in both directions of US-Turkey trade after 1964, alongside the increase in ideal point distance between the two countries. The episode therefore provides an opportunity to examine whether bilateral trade changed following a deterioration in political relations in the absence of an observable formal trade-policy response.

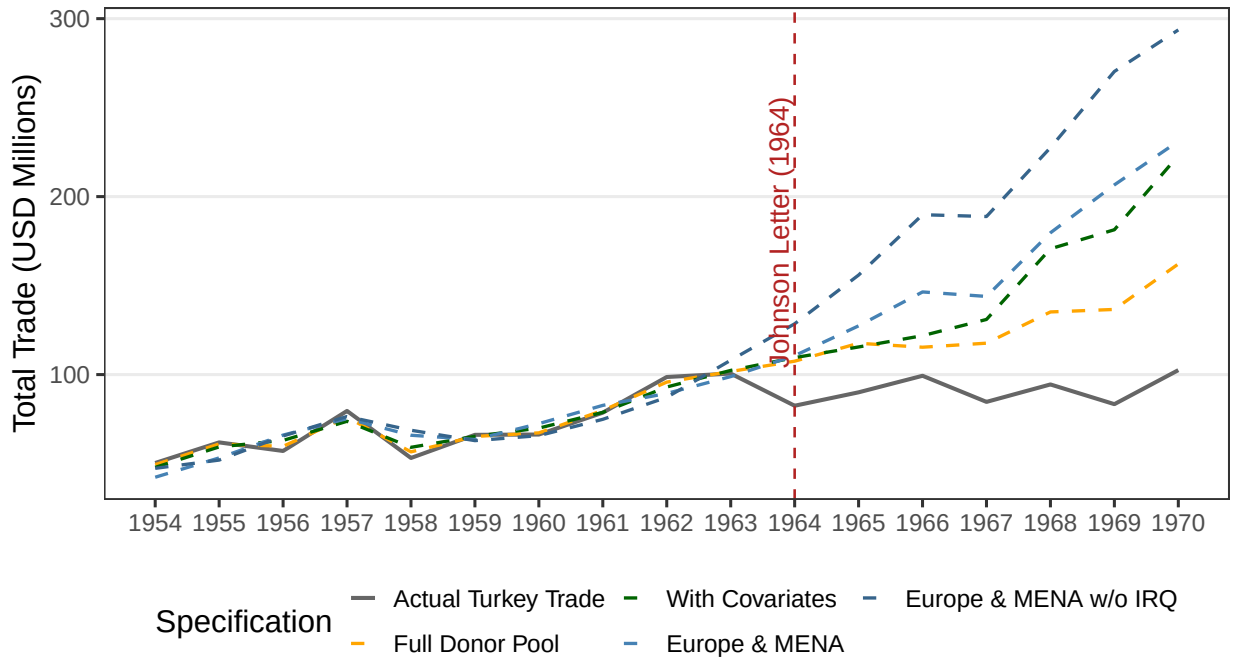
We study the episode using an augmented synthetic control (Ben-Michael et al., 2021). We construct a synthetic Turkey from a weighted combination of donor countries whose bilateral trade with the United States over 1954–1963 tracks Turkey's pre-letter trajectory. We consider four donor pools: the full set of countries with matched trade data, the same pool additionally matched on GDP and trade openness, a pool restricted to Europe and the Middle East, and the same restricted pool excluding Iraq, whose trade with the United States is unusually volatile over this period.

Figure 11 presents the results. By construction, across all four specifications, synthetic trade closely tracks actual US-Turkey trade during the 1954–1963 pre-period. After 1964, however, the two series diverge. Actual US-Turkey trade remains near its 1963 level through 1970, while each synthetic control continues along the upward trajectory observed before the letter. Averaged over 1964–1970, actual trade falls short of its synthetic counterfactual by roughly 40 to 130 percent, depending on the donor pool, with the gap widening over much of the post-period across all four specifications. The confidence intervals are wide and frequently include zero, so we interpret this evidence as suggestive rather than conclusive.

The episode nevertheless complements the mechanism evidence above because the deterioration in bilateral trade occurred without an accompanying sanction, change in aid, or formal trade restriction. It therefore suggests that the effect of political realignment on trade extends beyond observable instruments of foreign economic policy.

[10] Turkey eventually invaded Cyprus in 1974, after which the United States imposed an arms embargo that lasted until 1975. We restrict attention to the years immediately following the 1964 letter, well before this later episode.

Figure 11: US-Turkey Trade: Actual versus Synthetic Control



Note: The solid gray line plots actual bilateral US-Turkey trade. Dashed lines plot synthetic Turkey under four donor pool specifications, estimated via augmented (ridge) synthetic control (Ben-Michael et al., 2021). The vertical line marks the Johnson Letter (1964).

9 Welfare Effects of Fragmentation

The estimates in Section 6 establish that political distance imposed substantial trade costs during the Cold War. We now embed our coup-identified estimate in the structural gravity model of Section 4 to quantify the resulting welfare consequences. We conduct two counterfactual exercises. The first measures the aggregate welfare losses from Cold War geopolitical fragmentation. The second asks whether countries' political alignments were consistent with their economic interests, both during the Cold War and in the contemporary US-China rivalry.

9.1 Extending the Model to Welfare

Section 4.1 derived bilateral trade flows X_{nit} from the structural gravity model in equation (1) and, in equation (5), the mapping from political distance to the trade cost component τ_{nit}^{TV}. Welfare counterfactuals require two further objects: bilateral trade shares, and a solution method for how the entire world's trade pattern and wages adjust when a set of trade costs changes simultaneously.

Trade Shares and Welfare. Dividing equation (1) by total expenditure X_{nt} gives country n's import share from i

$$\lambda_{nit} \equiv \frac{X_{nit}}{X_{nt}} = \frac{Y_{it}\,\phi_{nit}}{\Omega_{it}\,\Phi_{nt}}. \tag{21}$$

Real income in country n is $W_n = w_n/P_n$, where P_n is the CES price index. Under the Armington structure of Section 4.1, the domestic share satisfies $\lambda_{nn} = (w_n/P_n)^{1-\sigma}$, so that, using $\varepsilon \equiv \sigma - 1$,

$$W_n \;\propto\; \lambda_{nn}^{-1/\varepsilon}. \tag{22}$$

Arkolakis et al. (2012) show that the domestic expenditure share and the trade elasticity are sufficient statistics for welfare changes across a broad class of quantitative trade models. The welfare calculation in equation (22) therefore does not depend on the Armington structure specifically. Welfare therefore depends on the rest of the world only through the domestic trade share λ_{nn}, the fraction of a country's expenditure that stays at home: a fall in λ_{nn} reveals that a country has gained access to foreign varieties, and equation (22) is a sufficient statistic for the resulting welfare gain.

Counterfactual Trade Costs. For any variable x, let $\hat{x} \equiv x^{\text{CF}}/x^{\text{actual}}$ denote its counterfactual change. Each exercise below perturbs IPD_{nit} to some counterfactual configuration $\text{IPD}_{nit}^{\text{CF}}$, for instance zero, in the aggregate exercise of Section 9.2, or a hypothetical superpower's ideal point, in the alignment exercises of Sections 9.3 and 9.4. By equation (5), the implied change in bilateral trade costs is

$$\hat{\tau}_{nit} \;=\; \exp\!\left(\frac{\beta}{\varepsilon}\Big(\text{IPD}_{nit}^{\text{actual}} - \text{IPD}_{nit}^{\text{CF}}\Big)\right), \tag{23}$$

using the coup-identified estimate $\beta = -0.154$ from Table 2, Panel B. Domestic trade costs are held fixed throughout ($\hat{\tau}_{nnt} = 1$), since political distance does not apply to within-country transactions.

Solution Method. We solve for the counterfactual equilibrium using the exact hat algebra of Dekle et al. (2008), which recovers $\{\hat{w}_{it}, \lambda_{nit}^{\text{CF}}\}$ from observed trade shares and trade cost changes alone, without estimating the level of any multilateral resistance term. Counterfactual trade shares satisfy

$$\lambda_{nit}^{\text{CF}} \;=\; \frac{\hat{w}_{it}^{-\varepsilon}\,\hat{\tau}_{nit}^{-\varepsilon}\,\lambda_{nit}}{\displaystyle\sum_{k} \hat{w}_{kt}^{-\varepsilon}\,\hat{\tau}_{nkt}^{-\varepsilon}\,\lambda_{nkt}}, \tag{24}$$

and, assuming balanced trade, goods market clearing in changes requires

$$\hat{w}_{it}\,Y_{it} \;=\; \sum_{n} \lambda_{nit}^{\text{CF}}\,\hat{w}_{nt}\,Y_{nt}. \tag{25}$$

We solve equations (24) and (25) jointly for $\{\hat{w}_{it}, \lambda_{nit}^{\text{CF}}\}$ by iterating to convergence, normalizing the GDP-weighted world wage index to one, separately for each year in our sample, using that year's observed bilateral trade flows and GDP. The resulting welfare change follows directly from equation (22),

$$\hat{W}_{nt} \;=\; \Big(\hat{\lambda}_{nnt}\Big)^{-1/\varepsilon}, \qquad \hat{\lambda}_{nnt} \equiv \frac{\lambda_{nnt}^{\text{CF}}}{\lambda_{nnt}^{\text{actual}}}, \tag{26}$$

which we implement using the trade elasticity $\varepsilon = 5.03$ from Head and Mayer (2014), the same value used for the tariff equivalents in Section 6.1. A reduction in the home trade share ($\hat{\lambda}_{nnt} < 1$)

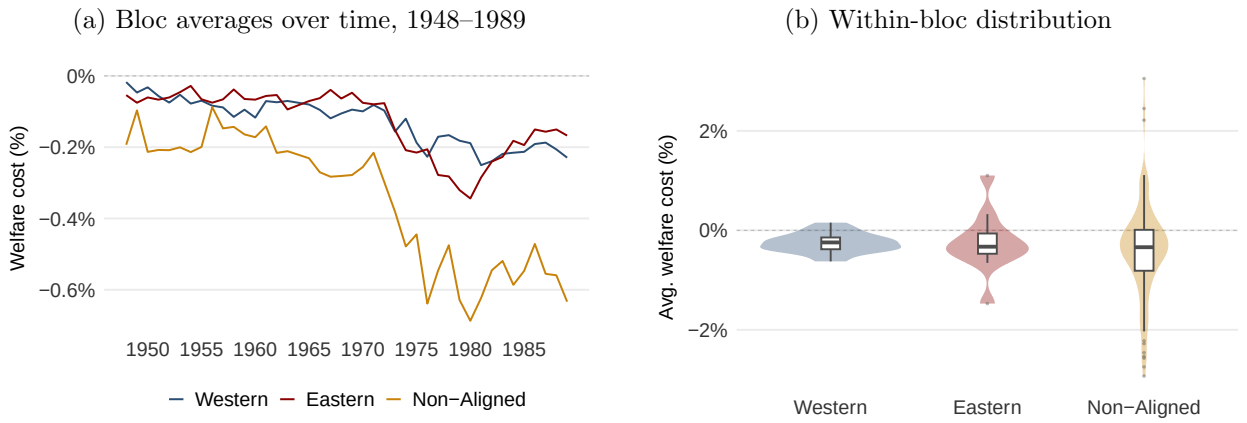
reflects expanded trade with newly accessible partners and implies a welfare gain ($\hat{W}_{nt} > 1$). We report all welfare changes as percentage changes in real income.

Data. The counterfactuals require a full bilateral trade and GDP panel, including domestic (within-country) trade, which is not needed for the dyadic event-study estimation in Section 6. We construct this panel from the CEPII Gravity dataset and Tradhist. Since neither database directly reports domestic trade X_{nn}, we impute it following Kleinman et al. (2024): gross output is computed as 2.2 times GDP, and domestic expenditure is this figure net of total exports.[11] The resulting gains-from-trade formula matches textbook treatments (Costinot and Rodríguez-Clare, 2014).

9.2 The Economic Costs of the Cold War

Our first counterfactual asks: what would real incomes have been during the Cold War if geopolitical alignment had not affected bilateral trade costs? We implement this by eliminating the trade-cost component associated with political distance, setting $\text{IPD}_{nit}^{\text{CF}} = 0$ for every dyad and year while leaving all other trade costs unchanged. We then compute the resulting welfare change using equation (26).

Figure 12: Welfare costs of Cold War geopolitical barriers



Notes: Both panels measure welfare costs as the percentage reduction in real income relative to a counterfactual in which political alignment does not affect bilateral trade costs ($\text{IPD}_{nit} = 0$ for all dyads), computed from equations (24)–(26) with $\varepsilon = 5.03$ (Head and Mayer, 2014) and $\beta = -0.154$ (Table 2, Panel B). Country groups: Western = NATO members plus Japan and Australia, Eastern = Warsaw Pact members, Non-Aligned = all others. *Panel (a):* Annual averages weighted by country GDP. *Panel (b):* Each observation is a country's GDP-weighted average cost across all sample years, the violin shows the kernel density and the embedded boxplot shows the median and interquartile range.

Figure 12 plots the results. Geopolitical barriers imposed non-trivial real income losses throughout the Cold War: averaged across all countries and years, the GDP-weighted welfare cost amounts to 0.25% of real income. The burden is sharply unequal across blocs. Non-Aligned countries bear an average cost of 0.52%, roughly three times the 0.19% and 0.18% borne by Western- and Eastern-bloc members, respectively. The intuition follows from the structure of trade. Bloc members traded primarily within their own bloc (see Appendix Figure A.11), where political distance was relatively

[11] Datasets that directly report domestic expenditures either do not cover the Cold War era, such as Borchert et al. (2021), or have many missing observations, particularly for countries in the Global South that are central to our analysis, such as Head and Mayer (2021).

low, so geopolitical barriers with the opposing bloc and Non-Aligned countries affected a comparatively small share of their potential trade. Non-Aligned countries, by contrast, were politically distant from both blocs and therefore faced geopolitical trade costs across a much broader set of economically relevant partners. Removing these barriers consequently produces substantially larger welfare gains. The economic burden of Cold War fragmentation therefore fell disproportionately on countries outside the two formal blocs.

The welfare cost also increased substantially over time. It averaged 0.09% of real income in 1948–1959, rose to 0.13% in 1960–1974, and increased further to 0.27% in 1975–1989. The annual series shows a particularly pronounced increase around 1973–1974, after which welfare costs remain substantially above their earlier levels. This timing coincides with a period of intensified superpower competition in the developing world and growing geopolitical polarization during the 1970s. Costs peak around 1980, during the renewed deterioration in East-West relations surrounding the Soviet invasion of Afghanistan and the end of détente, before declining somewhat in the mid-1980s.

Panel (b) of Figure 12 also reveals substantial heterogeneity within blocs. For 40 of the 170 countries in our sample, removing geopolitical barriers globally would have reduced rather than increased real income. This is a general equilibrium effect. Countries that were politically close to a major trading partner effectively enjoyed preferential access relative to more politically distant competitors. Removing geopolitical barriers erodes this advantage by redirecting demand toward previously disadvantaged suppliers, generating a terms-of-trade loss that can outweigh the gains from lower import costs. These losses are concentrated among small, highly open economies with concentrated trade relationships, including Djibouti, Cape Verde, Tonga, Jordan, the Bahamas, and Hong Kong.

In Appendix Section A.13, we further examine the sources of these heterogeneous welfare costs by decomposing the full counterfactual into three partial counterfactuals, each removing geopolitical barriers between a different pair of blocs. The decomposition reveals markedly different sources of welfare losses across groups. Eastern-bloc losses were driven primarily by barriers across the Iron Curtain, while Non-Aligned losses arose overwhelmingly from barriers to Western markets. Western-bloc losses, by contrast, were driven primarily by political frictions within the Western bloc rather than by barriers with the Eastern bloc.

9.3 The Economics of Bloc Loyalty

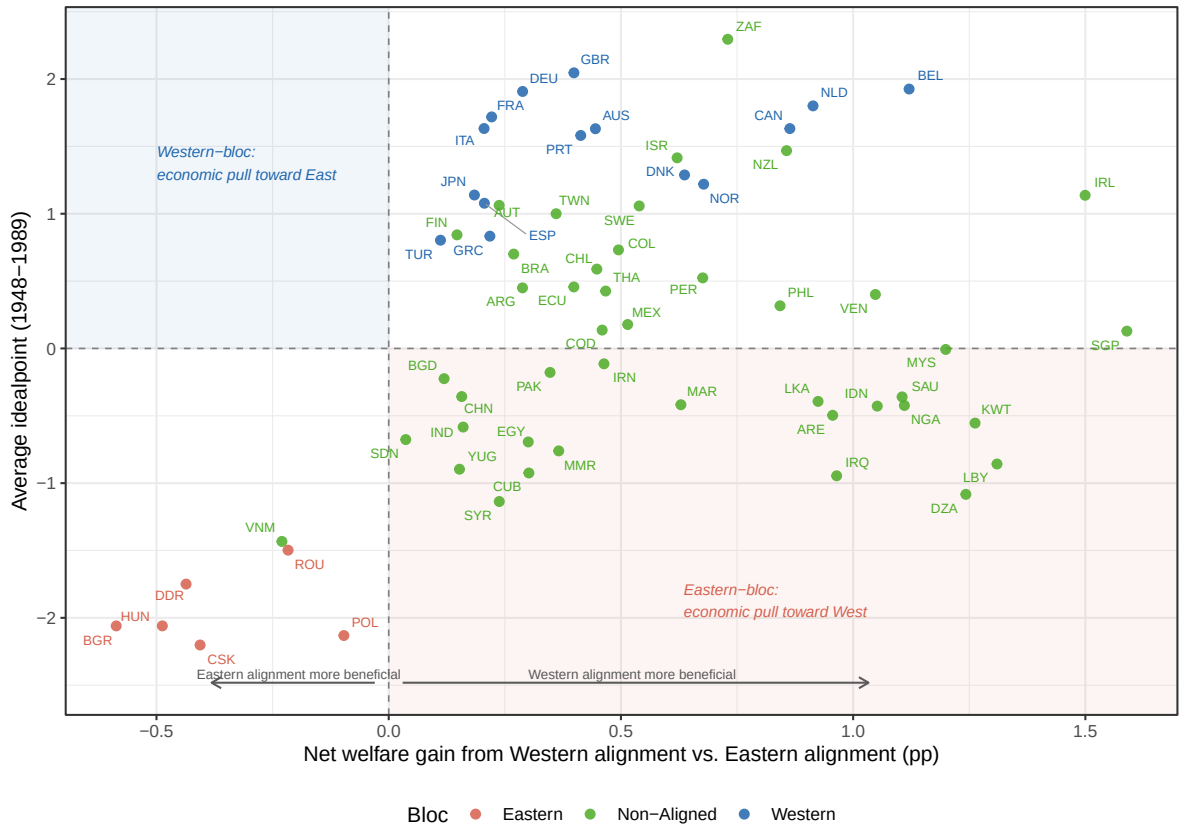
The preceding analysis asks how much countries lost from Cold War fragmentation relative to a world without geopolitical trade barriers. A complementary question concerns individual incentives: given the actual political and economic configuration of the Cold War, would a country have benefited more from adopting the geopolitical alignment of the United States or that of the Soviet Union? This exercise reveals whether countries' political and economic incentives reinforced or cut against each other.

Design. For each country n, we consider two counterfactuals: adopting the geopolitical alignment of the United States or that of the Soviet Union. Under alignment with superpower $a \in \{\text{US}, \text{USSR}\}$, we replace country n's political distance to every trading partner i with the corresponding distance between superpower a and country i, so that

$$\text{IPD}_{ni}^{\text{CF}} = \text{IPD}_{ai}.$$

We then use equation (23) to obtain the implied changes in bilateral trade costs. Unlike the aggregate counterfactual, which removes geopolitical trade barriers for all dyads simultaneously, this exercise changes only trade costs involving country n, holding the political configuration of the rest of the world fixed. We solve the counterfactual separately for each country and year from 1948 to 1989 using that year's observed trade flows, GDP, and ideal points. We report the net welfare advantage of Western over Eastern alignment, $\Delta W_n = \hat{W}_n^{\text{West}} - \hat{W}_n^{\text{East}}$, in percentage points of real income.

Figure 13: Political Alignment and Economic Incentives during the Cold War



Note: Each point is one country's average over 1948–1989. The horizontal axis plots $\Delta W_n = \hat{W}_n^{\text{West}} - \hat{W}_n^{\text{East}}$, the difference in welfare gain (percentage points of real income) between full alignment with the US and full alignment with the USSR, computed from equations (24)–(26) with $\varepsilon = 5.03$ and $\beta = -0.154$. Bloc classification: Western = NATO members plus Japan and Australia, Eastern = Warsaw Pact members, Non-Aligned = all others. Idealpoints from Bailey et al. (2017).

Results. Figure 13 plots two dimensions for each country: political alignment on the vertical axis, where countries above zero voted closer to the US in the UN General Assembly and those below zero closer to the USSR, and economic incentives on the horizontal axis, where $\Delta W_n > 0$ means Western alignment would have delivered a larger welfare gain. Countries in the upper-right and lower-left quadrants faced consistent incentives. Those in the lower-right faced an economic pull toward the West despite political alignment with the East, and those in the upper-left the reverse. Three findings stand out.

First, for the vast majority of countries, the welfare gain from Western alignment exceeds that from Eastern alignment. Non-Aligned countries gain an average of 0.65 percentage points more from full Western than Eastern alignment, while Western-bloc countries gain 0.49 percentage points more from maintaining a Western rather than adopting an Eastern orientation. This asymmetry reflects the greater economic weight of the Western bloc: adopting the US alignment profile reduces geopolitical trade barriers toward a larger and economically more important set of trading partners.

Second, the pattern is sharply asymmetric. Not a single Western-bloc country would have gained more from adopting the Soviet rather than the US alignment profile. The Western bloc was therefore economically self-reinforcing in this sense: political and economic incentives pointed in the same direction for every member.

Third, the pattern is more mixed among countries politically closer to the Soviet Union. For formal Eastern-bloc members, political and economic incentives largely coincided: eight of the nine members would have been better off maintaining an Eastern rather than adopting a Western orientation. The tension instead arises primarily outside the formal bloc. Of the 30 countries with below-zero ideal points, 22, most of them Non-Aligned countries that voted somewhat closer to the Soviet Union in the UN General Assembly, would nevertheless have gained more from Western alignment.

Taken together, the two exercises provide a consistent picture of the economic geography of the Cold War. The aggregate counterfactual shows that geopolitical barriers imposed their largest welfare costs on Non-Aligned countries. The alignment counterfactual provides a complementary perspective: many of these countries faced a substantial economic pull toward Western markets despite remaining politically outside the Western bloc, and in many cases voting closer to the Soviet Union. By contrast, political and economic incentives were mutually reinforcing for all Western-bloc members and for most Eastern-bloc members. The tension between geopolitical alignment and economic incentives was therefore concentrated primarily in the Non-Aligned world.

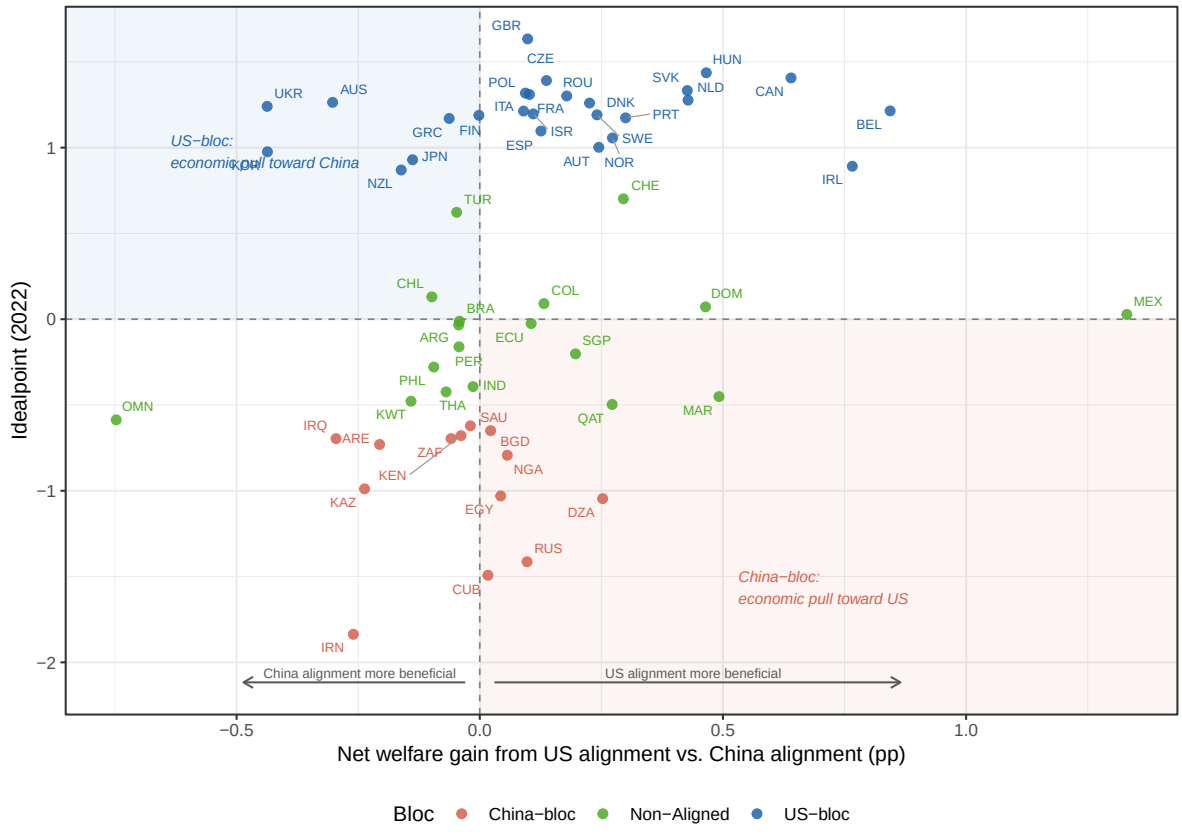
9.4 Contemporary Fragmentation: US-China Rivalry

In recent years, political tensions between the United States and China have risen sharply, prompting a growing literature on whether the world economy is drifting toward a new bipolarity (Aiyar et al., 2024; Gopinath et al., 2025). Recent studies also document declining trade between politically distant countries (Bosone and Stamato, 2024; de Soyres et al., 2025). We apply the same framework to the contemporary US-China rivalry to ask whether political and economic incentives

remain aligned and how the resulting pattern compares with the Cold War.

Design. We use 2019 data as the economic baseline, the last pre-pandemic year with complete bilateral data, and 2022 ideal points to capture the more recent geopolitical configuration following Russia's invasion of Ukraine. Following Aiyar et al. (2024), we classify countries by ideal point proximity: the 25% closest to the US form the US bloc, the 25% closest to China form the China bloc, and the remainder are Non-Aligned. The US anchor ideal point is 2.12 and the China anchor is −1.41. As in the Cold War exercise, under alignment with anchor country $a \in \{\text{US}, \text{China}\}$, we replace country n's political distance to every trading partner i with the corresponding distance between anchor a and country i, so that $\text{IPD}_{ni}^{\text{CF}} = \text{IPD}_{ai}$. We then use equation (23) to obtain the implied changes in bilateral trade costs. All structural parameters are identical to the Cold War exercise, allowing the magnitudes to be compared directly.

Figure 14: Political Alignment and Economic Incentives under Contemporary Fragmentation



Note: Each point is one country. The horizontal axis plots $\Delta W_n = \hat{W}_n^{\text{US}} - \hat{W}_n^{\text{China}}$, the difference in welfare gain (percentage points of real income) between full alignment with the United States and full alignment with China. Baseline trade flows and GDP are from 2019, idealpoints and bloc classification from 2022, computed from equations (24)–(26) with $\varepsilon = 5.03$ and $\beta = -0.154$. Bloc classification follows Aiyar et al. (2024): top-25% idealpoint proximity to the US = US-bloc, top-25% to China = China-bloc, remainder = Non-Aligned. Idealpoints from Bailey et al. (2017).

Results. Figure 14 plots ΔW_n against each country's 2022 alignment. Three findings stand out.

First, aligning with one bloc rather than the other is substantially less consequential for welfare than during the Cold War. US-bloc countries gain an average of 0.16 percentage points more from US than from China alignment, compared with a 0.49 percentage point advantage of Western alignment for Western-bloc countries during the Cold War. Among Non-Aligned countries, the corresponding difference is only 0.11 percentage points today, compared with 0.65 percentage points during the Cold War. The economic divide between the two alignment choices is therefore considerably smaller today than under Cold War bipolarity.

Second, the contemporary US bloc is no longer uniformly economically self-reinforcing. During the Cold War, every Western-bloc country would have gained more from Western than from Eastern alignment. Today, 7 of 27 US-bloc countries would gain more from adopting China's alignment profile than that of the United States, including Australia and Japan, both with extensive existing trade ties to China that would benefit from reduced political-distance frictions. Political alignment and economic incentives therefore no longer point in the same direction for every member of the US bloc.

Third, economic incentives within the China bloc are almost evenly divided. China alignment is, on average, slightly more beneficial for China-bloc members, but this average masks substantial heterogeneity: 7 of 14 members would gain more from US alignment, while the other 7 would gain more from China alignment. This contrasts sharply with the Cold War Eastern bloc, where eight of nine members were economically better off maintaining an Eastern orientation. Political and economic alignment is therefore considerably weaker within today's China bloc than it was within the Soviet bloc.

The contemporary picture is therefore more symmetric and more conflicted than the Cold War. Both blocs now contain a substantial share of countries whose economic incentives point toward the opposing geopolitical camp. At the same time, the welfare difference between the two alignment choices is considerably smaller than during the Cold War. Political and economic incentives were largely mutually reinforcing within the formal blocs of the Cold War. Under contemporary US-China rivalry, they are much less closely aligned. The emerging geopolitical divide is therefore, at least so far, considerably less economically self-reinforcing than the Cold War order.

10 Conclusion

Geopolitical rivalry is increasingly shaping the organization of the world economy, yet the economic consequences of political alignment are difficult to identify because political and economic relationships are jointly determined. This paper uses the Cold War to estimate the causal effect of geopolitical alignment on international trade. We exploit coups as abrupt political realignments and combine two complementary empirical strategies: one uses the magnitude of coup-induced changes in political distance, while the other compares successful with failed coup attempts. Both approaches show that political realignment has a large and persistent effect on bilateral trade. A

one-unit increase in political distance reduces trade by approximately 15 percent in the medium run, corresponding to an ad valorem tariff equivalent of 3.1 percent on average and 11.5 percent for relationships involving the Cold War superpowers.

The effects of political distance extend beyond any single instrument of economic statecraft. Countries that become more politically distant receive less foreign assistance and are more likely to face new economic sanctions, although formal trade sanctions account for only a small fraction of the overall trade response. The deterioration in US-Turkey relations following the 1964 Johnson Letter provides complementary evidence that trade can also respond to political estrangement in the absence of observable changes in formal economic policy. Taken together, these results suggest that geopolitical relationships shape economic integration through both government policy and broader responses to changes in political relations.

Embedding our estimates in a structural gravity model reveals that these trade effects had meaningful welfare consequences. The burden of Cold War fragmentation was highly uneven. Non-Aligned countries experienced the largest welfare losses, reflecting in particular the economic cost of political distance from the large Western market. The same framework also reveals a distinction between the economic structure of Cold War rivalry and that of the emerging US-China rivalry. During the Cold War, political and economic incentives were largely mutually reinforcing within the two formal blocs, while tensions between political positioning and economic interests were concentrated in the Non-Aligned world. Today, choosing between geopolitical blocs is less consequential for welfare, but political and economic incentives are also less closely aligned. Both the US and China blocs contain countries whose existing trade relationships create an economic pull toward the opposing side.

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A Appendix

A.1 Summary of Assumptions in Recent Trade Fragmentation Models

A rapidly growing literature uses structural trade models to quantify the potential economic costs of geopolitical fragmentation. The assumed bloc configurations vary considerably across papers. Some studies adopt a bipolar structure with clearly defined China-aligned and US-aligned blocs, while others allow for more complex groupings or focus specifically on Russia-Ukraine fragmentation. The treatment of non-aligned or swing countries also differs: some papers assign every country to one bloc or another, while others model an intermediate group that maintains relationships with both sides.

Even more variation exists in the assumed magnitude of trade barriers. Assumptions range from complete prohibitions on trade in strategic sectors ($\tau \to \infty$) to relatively modest tariff increases of 7.5 to 15 percent. Some studies model economy-wide barriers, while others focus specifically on high-technology goods or critical inputs. The most extreme scenarios consider trade cost increases of 160 percentage points or tariffs of 60 percent on critical goods, while more conservative approaches assume 20 to 25 percent tariff equivalents.

Table A.1 summarizes the key assumptions from these studies. The diversity of approaches reflects uncertainty about future geopolitical developments, and underscores the value of historical evidence, of the kind this paper provides, in grounding these exercises.

Table A.1: Assumed Bloc Configurations and Trade Barriers in Recent Trade Fragmentation Models

	Assumed Blocs		**Assumed Policy Shock**
	Bloc A	**Bloc B**	
Cerdeiro et al. (2021)	China	OECD	$\tau \to \infty$ in high-tech sectors
Góes and Bekkers (2022)	China-bloc	US-bloc	$\tau \uparrow$ 160pp or $t \uparrow$ 32pp
Bolhuis et al. (2023)	China + Russia	US + EU	$\tau \to \infty$ in high-tech sectors
Plummer (2023)	China + allies	US + allies	$t = 7.5\%$ between blocs $t = 15\%$ on sensitive imports
Bonadio et al. (2025)	China-bloc	US-bloc	General decoupling, no single tariff figure
Javorcik et al. (2024)	Pro-Russia	Pro-Ukraine	$\tau \uparrow$ 20pp
Baur et al. (2025)	China	US + ROW	$t = 25\%$ between blocs doubling of NTBs
Seong et al. (2025)	China + Russia	Adv. Economies	$t = 60\%$ on critical goods $t = 20\%$ other goods

Note: t = tariffs, τ = trade costs, pp = percentage points, NTBs = non-tariff barriers.

A.2 LLM Classification of Foreign-Backed Coups

This appendix reports full detail on the large language model classification described in Section 6.3, used to identify coups with credible documented evidence of direct superpower backing. We classify all 546 coup events in the underlying Bjørnskov and Rode (2020) data, both successful and failed, including the second coup attempt some country-years record in addition to the main one. For each event, the model is asked whether there is credible documented evidence, declassified intelligence records, participant testimony, or a strong historian consensus, that the United States or the Soviet Union directly assisted, funded, or orchestrated that specific coup, as distinct from a broader undocumented allegation. Each coup is classified as foreign backed, no evidence, or unclear, together with a confidence tier reflecting the strength of the underlying evidence, and, where foreign backed, the responsible power.

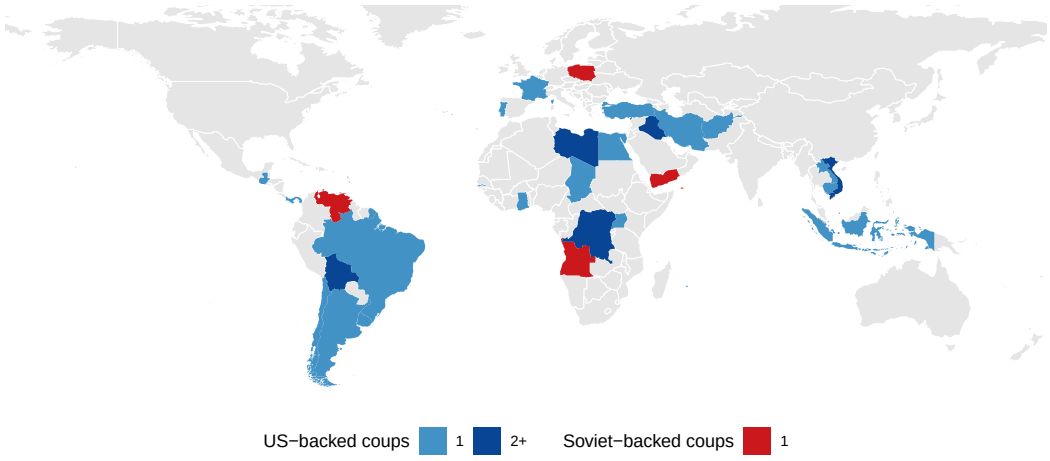
Table A.2 reports the full classification. Of the 546 events, 66 are classified foreign backed at medium or high confidence, 30 attributed to the United States, 4 to the Soviet Union, and 32 to another foreign power, outside the scope of the superpower rivalry this paper studies. No coup is classified foreign backed at low confidence only. Figure A.1 maps the geographic distribution of the US- and Soviet-backed coups.

Table A.2: LLM Classification of All 546 Coup Events, by Power and Confidence

	High	Medium	Low	Total
Foreign-Backed: US	6	24	0	30
Foreign-Backed: Soviet	0	4	0	4
Foreign-Backed: Other Power	11	21	0	32
Foreign-Backed: Total	**17**	**49**	**0**	**66**
No Evidence	380	35	11	426
Unclear	0	0	54	54
Total	**397**	**84**	**65**	**546**

Note: $n = 546$ coup events, both successful and failed, including second-coup-slot events. No coup is classified foreign backed at low confidence, and no "no evidence"/"unclear" classification carries a power attribution.

Figure A.1: Geographic Distribution of LLM-Classified Foreign-Backed Coups

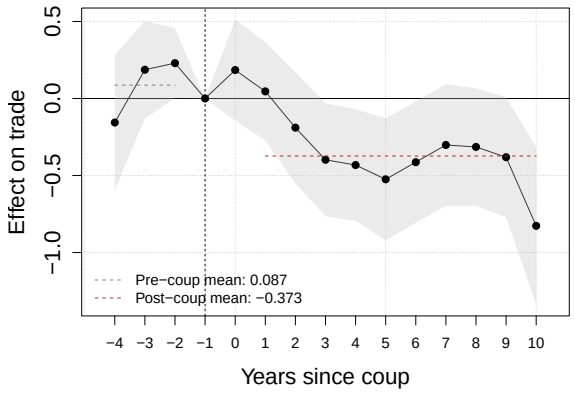


Note: Count of coups per country classified foreign backed at medium or high confidence, split by power. US-backed counts are bucketed to 1 versus 2+ (the darker shade), since Iraq is the only country with more than two US-backed coups (three). No country has more than one Soviet-backed coup, so the Soviet legend shows only a single shade. US-backed and Soviet-backed countries never overlap in this data, so both counts are shown on a single map (blue = US, red = Soviet).

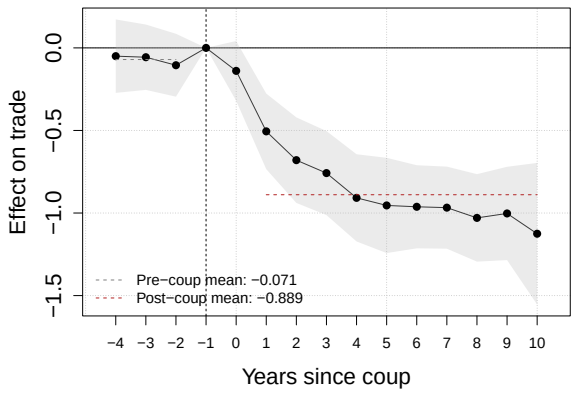
A.3 Alternative Measure of Political Alignment

Figure A.2: Effect of Political Realignment on Trade, by Partner Type, Geopolitical Score Measure

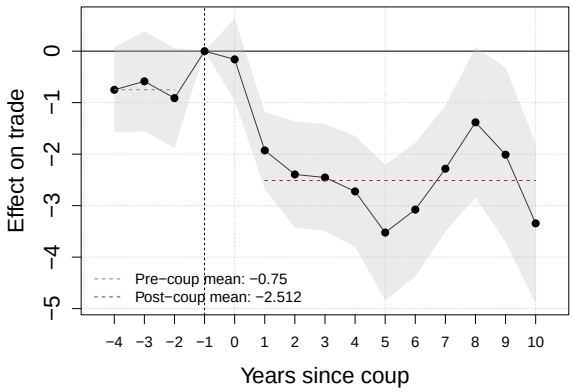
(a) Non-aligned partners



(b) Bloc partners



(c) Superpower partners



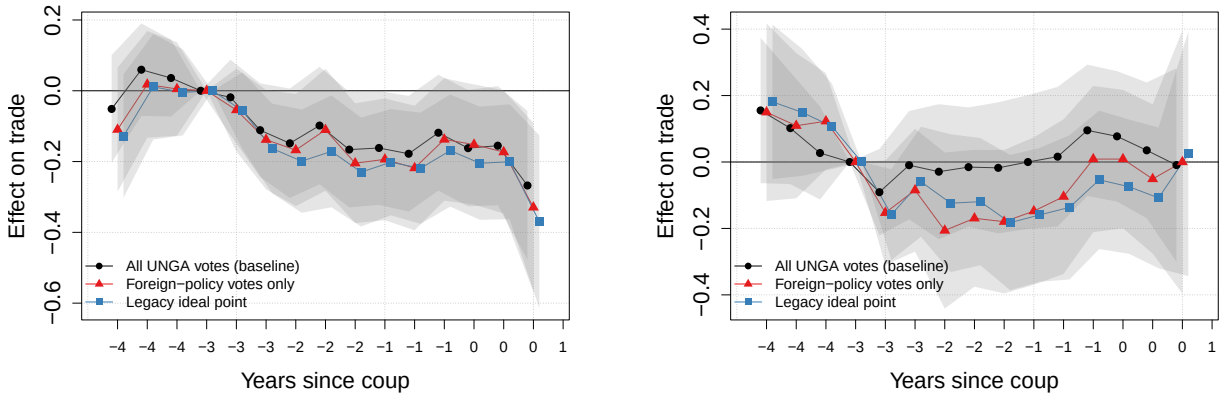
Note: Each panel plots $\hat{\beta}_k$ from equation (10), using the geopolitical score of Fan (2025) and Fan et al. (2025) in place of ΔIPD_{ni}, estimated separately on the subsample of dyads in each partner group, for successful coups only. Shaded regions are 95% confidence intervals from standard errors clustered by dyad.

A.4 Alternative UNGA Idealpoints

Figure A.3: Effect of Political Realignment on Trade Around Coups - Alternative Idealpoints

(a) Successful coups

(b) Failed coups (placebo)



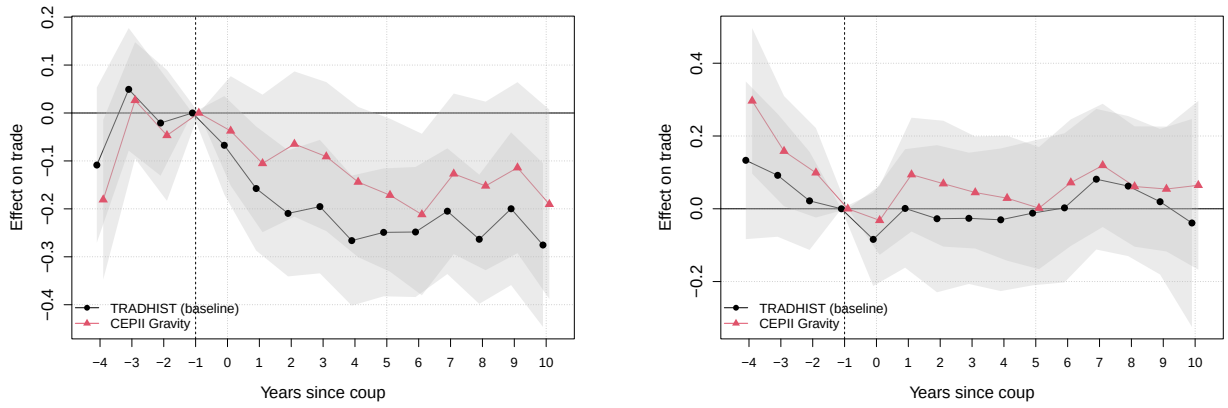
Note: Each panel plots $\hat{\beta}_k$ from equation (10), the effect on trade of a one-unit increase in political distance k years after the coup, relative to $k = -1$. Shaded regions are 95% confidence intervals from standard errors clustered by dyad. Dashed lines show the average pre-coup ($k < -1$) and post-coup ($k \geq 0$) coefficient.

A.5 Alternative Trade Data

Figure A.4: Effect of Political Realignment on Trade Around Coups - Gravity Data

(a) Successful coups

(b) Failed coups (placebo)

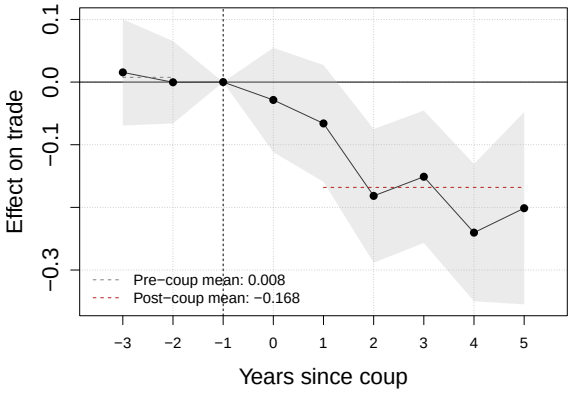


Note: Each panel plots $\hat{\beta}_k$ from equation (10), the effect on trade of a one-unit increase in political distance k years after the coup, relative to $k = -1$. Shaded regions are 95% confidence intervals from standard errors clustered by dyad. Dashed lines show the average pre-coup ($k < -1$) and post-coup ($k \geq 0$) coefficient. Trade data from CEPII Gravity database.

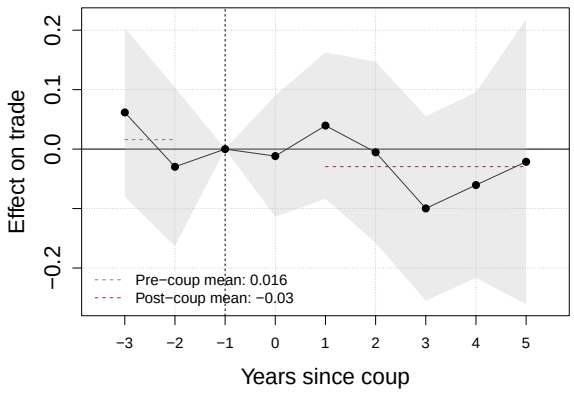
A.6 Alternative Time Window

Figure A.5: Effect of Political Realignment on Trade Around Coups

(a) Successful coups



(b) Failed coups (placebo)



Note: Each panel plots $\hat{\beta}_k$ from equation (10), the effect on trade of a one-unit increase in political distance k years after the coup, relative to $k = -1$. Shaded regions are 95% confidence intervals from standard errors clustered by dyad. Dashed lines show the average pre-coup ($k < -1$) and post-coup ($k \geq 0$) coefficient.

A.7 Foreign Aid Data

This appendix describes the construction of the foreign aid data used in Section 8.1 in full.

Soviet Aid. We digitize data from a series of now-declassified CIA reports titled "Communist Economic and Military Aid to the Non-Communist Less Developed Countries" (CIA, 1955-86). During the Cold War, the CIA meticulously tracked aid flows from communist countries to monitor Soviet influence in the developing world. These reports document approximately 4,000 aid projects spanning 1954–1990, distinguishing between economic assistance (such as the construction of the Aswan Dam or industrial facilities) and military aid (deliveries of weapons and military equipment). The CIA valued both economic and military assistance in current U.S. dollars, using contemporary price lists for military equipment and making adjustments for depreciation where appropriate (CIA, 1955-86). While the reports cover aid from all communist countries including China and Warsaw Pact members, we focus primarily on Soviet aid, which accounts for 75% of total communist assistance.

U.S. Aid. For American foreign assistance, we use the "U.S. Overseas Loans and Grants" database, commonly known as the Greenbook. This official source records annual commitments of foreign loans and grants from 1945 onward at the instrument level, providing comprehensive coverage of U.S. official capital flows across multiple agencies. The database distinguishes between economic assistance (development aid, food aid, technical cooperation) and military assistance, defined as "foreign aid primarily for the benefit of armed forces of recipient governments, or aid which subsidizes or substantially enhances military capability."

Comparison and Measurement. Both datasets record commitments rather than actual disbursements, making them comparable in timing. However, they differ in temporal structure.

Figure A.6: Soviet Foreign Aid

COMMUNIST COUNTRY	DATE EXTENDED	PROJECTS	MILLION CURRENT US $ EXTENDED	DRAWN	STATUS*
ALGERIA					
ROMANIA	1972 MAR				
		NINE STATE FARMS			UC
		DAM, EL FAKIA			UC
		TOTAL	100.0	45.0	
USSR	1962 AUG	GRANT -- WHEAT (10,000 TONS)	0.6	0.6	C
	1963 OCT	LINE OF CREDIT	100.0	100.0	
		TRUCKS			C
		TWO IL-18 AIRCRAFT ($3.4 MILLION)			
		AGRICULTURAL EQUIPMENT			C
		TECHNICAL ASSISTANCE			
		EQUIPMENT FOR TEXTILE INSTITUTE			C
		INDUSTRIAL TRAINING CENTER			C

Note: This figure displays an excerpt of the CIA reports on Soviet aid flows to non-aligned countries during the Cold War. The data includes information on the type, amount, date, origin and recipients of aid.

U.S. aid commitments are recorded annually, while Soviet commitments typically refer to multi-year agreements. Following Horn et al. (2021)'s approach for modern Chinese aid data, we assume Soviet aid is evenly distributed over five years, the most common project horizon when such information is available in the CIA reports. We aggregate both U.S. and Soviet aid flows to the recipient-year level and convert all values to constant 2011 U.S. dollars using the Consumer Price Index. Soviet aid is originally reported in current dollars by the CIA, facilitating direct comparison.

A.8 Aid Sanctions

Table A.3: Aid Sanctions Response to Coup-Induced Alignment Shifts

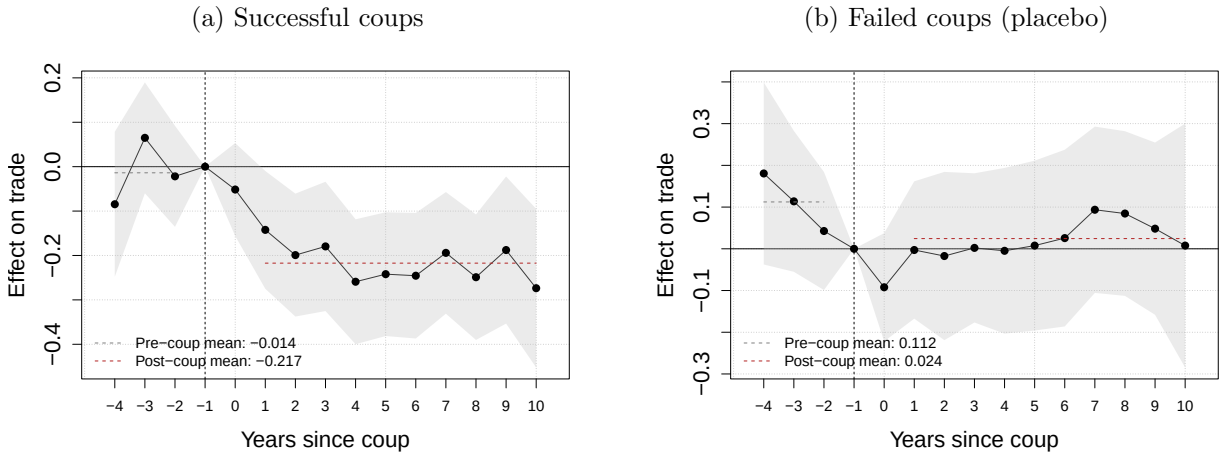
Dependent Variable:	Aid Sanctioned
	US
Model:	(1)
Variables	
Post × ΔIPD	0.005
	(0.043)
Fixed-effects	
Dyad × Coup Event FE	Yes
Year FE	Yes
Fit statistics	
Observations	1,192
R^2	0.42582

Clustered (dyad) standard-errors in parentheses
*Signif. Codes: ***: 0.01, **: 0.05, *: 0.1*

Note: Collapsed pre/post specification analogous to equation (19), with a binary aid-sanction indicator from Gibson et al. (2025) as the outcome, estimated by OLS with dyad-by-coup-event and year fixed effects. Russia is omitted, only 5 aid-sanction episodes appear in the underlying data across the full sample period, none within our estimation window.

A.9 Detrending the Alignment Data

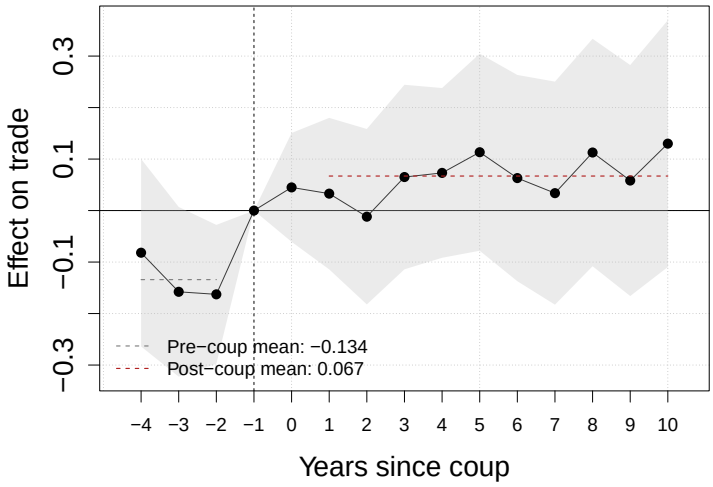
Figure A.7: Effect of Political Realignment on Trade Around Coups - Detrended Alignment Data



Note: Each panel plots $\hat{\beta}_k$ from equation (10), the effect on trade of a one-unit increase in political distance k years after the coup, relative to $k = -1$. Shaded regions are 95% confidence intervals from standard errors clustered by dyad. Dashed lines show the average pre-coup ($k < -1$) and post-coup ($k \geq 0$) coefficient.

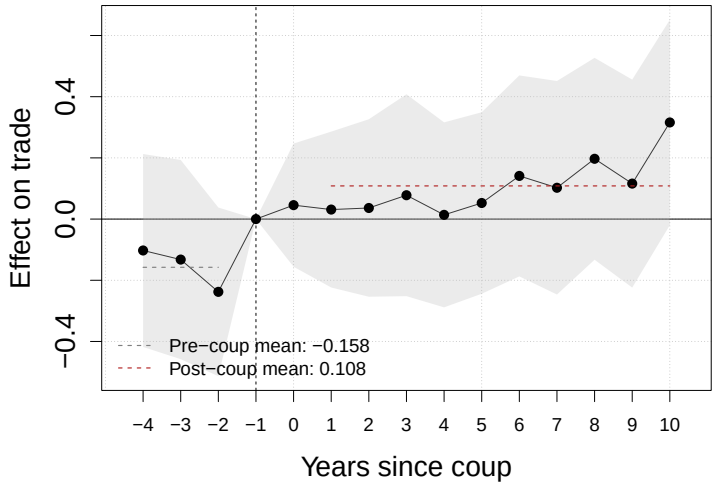
A.10 Post-Cold War Effects

Figure A.8: Effect of Political Realignment on Trade Around Coups, Post-Cold War Sample, UN Idealpoints



Note: Plots $\hat{\beta}_k$ from equation (10), restricted to coups and trade with year $\geq$ 1990. Shaded region is the 95% confidence interval from standard errors clustered by dyad.

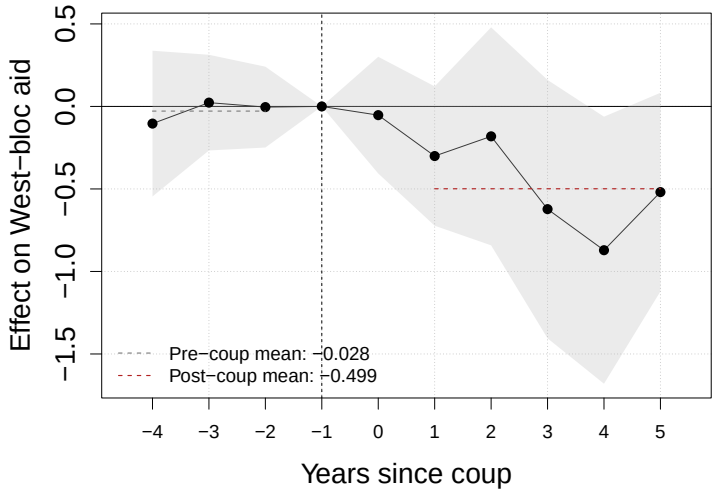
Figure A.9: Effect of Political Realignment on Trade Around Coups, Post-Cold War Sample, Geopolitical Score



Note: Plots $\hat{\beta}_k$ from equation (10), using the geopolitical score of Fan (2025) and Fan et al. (2025) in place of ΔIPD_{ni}, restricted to coups and trade with year ≥ 1990. Shaded region is the 95% confidence interval from standard errors clustered by dyad.

A.11 West-Bloc Aid

Figure A.10: Event Study of West-Bloc Aid Around Coups

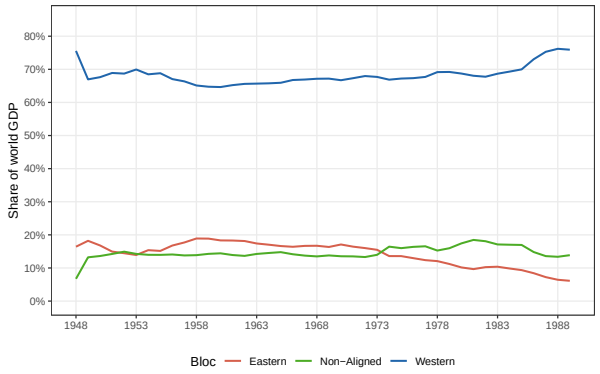


Note: Each panel plots $\hat{\beta}_k$ from equation (18), with aid summed across all reporting West-bloc donors and matched to each coup country's realignment dose relative to the West-bloc average. Standard errors are clustered by coup country.

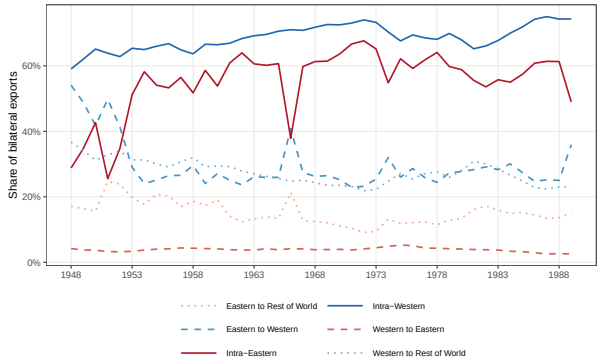
A.12 GDP and Trade Shares

Figure A.11: Cold War Bloc Structure, 1948–1989

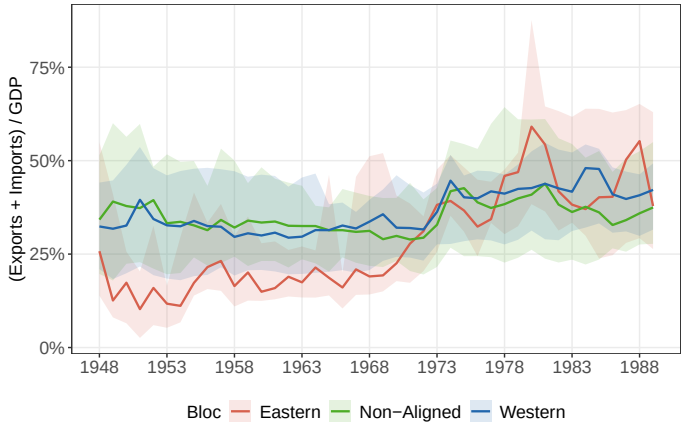
(a) Share of World GDP



(b) Share of Bilateral Exports



(c) (Exports + Imports) / GDP



Note: Western bloc = NATO members plus Japan, Eastern bloc = Warsaw Pact members, Non-Aligned = all others. Top-left: each bloc's share of total world GDP. Top-right: share of bilateral (non-domestic) exports by origin bloc and destination. Bottom: median exports-to-GDP ratio by bloc, shaded band = interquartile range across countries. GDP from the Maddison Project / Penn World Tables, bilateral trade from CEPII.

A.13 Decomposing the Sources of Welfare Costs

To isolate the mechanisms behind the heterogeneous burdens from Section 9.2, we run three additional partial counterfactuals, each removing the barriers of a single cross-bloc dyad pair: East-West (the Iron Curtain), West-Non-Aligned, and East-Non-Aligned. Within-bloc barriers are held at their observed values throughout, so the partials do not sum to the full counterfactual. The gap reflects both the omitted within-bloc component and general-equilibrium interactions. Figure A.12 presents the results.

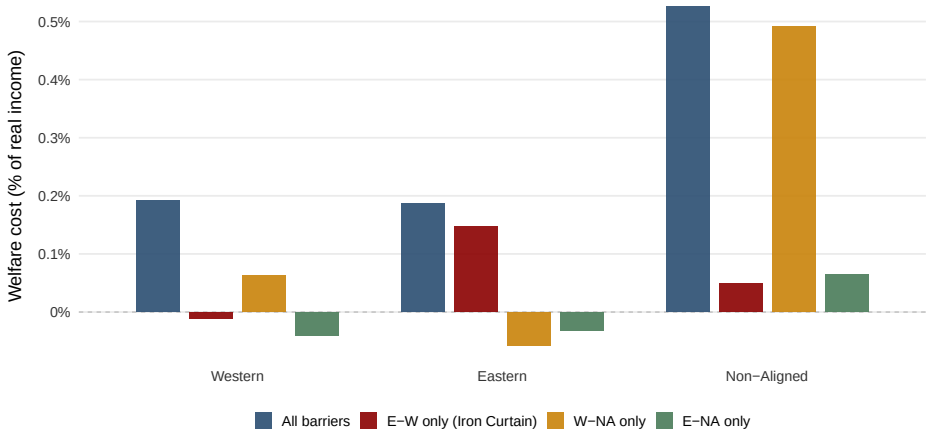
For Eastern bloc countries, the Iron Curtain is the dominant channel: removing E-W barriers alone recovers 79% of the Eastern welfare cost (0.15% of real income against a full cost of 0.19%). Removing W-NA or E-NA barriers in isolation produces a welfare *loss* for Eastern countries, a

general-equilibrium terms-of-trade effect in which Non-Aligned and Western trade reorients away from Eastern suppliers, depressing Eastern export prices without opening Eastern goods to new markets.

The most striking result concerns Non-Aligned countries. Of their 0.53% welfare cost, 93% is attributable to political barriers to the *Western* bloc alone (W-NA, 0.49%), while political distance to the Eastern bloc accounts for only 12% (E-NA, 0.07%). This asymmetry reflects the West's dominant economic weight: with the large majority of global trade flowing through Western-affiliated markets during this period, exclusion from them was far more costly than exclusion from the smaller Eastern trading system.

The Western bloc presents a different picture. Summing all three cross-bloc partial counterfactuals, their net contribution to Western welfare costs is approximately 0.01%, essentially zero, against a full counterfactual cost of 0.19%. The individual partials are small and partly offsetting, with two of the three producing a terms-of-trade loss rather than a gain: E-W at −0.01%, W-NA at +0.06%, and E-NA at −0.04%. The implication is that the bulk of Western welfare costs arose from political frictions *within* the Western bloc itself. Because intra-Western trade dominated Western expenditure, political distance among Western countries, distortions that the full counterfactual removes but no partial counterfactual touches, was the primary channel through which the Cold War imposed real income losses on the West.

Figure A.12: Decomposition of welfare costs by barrier type

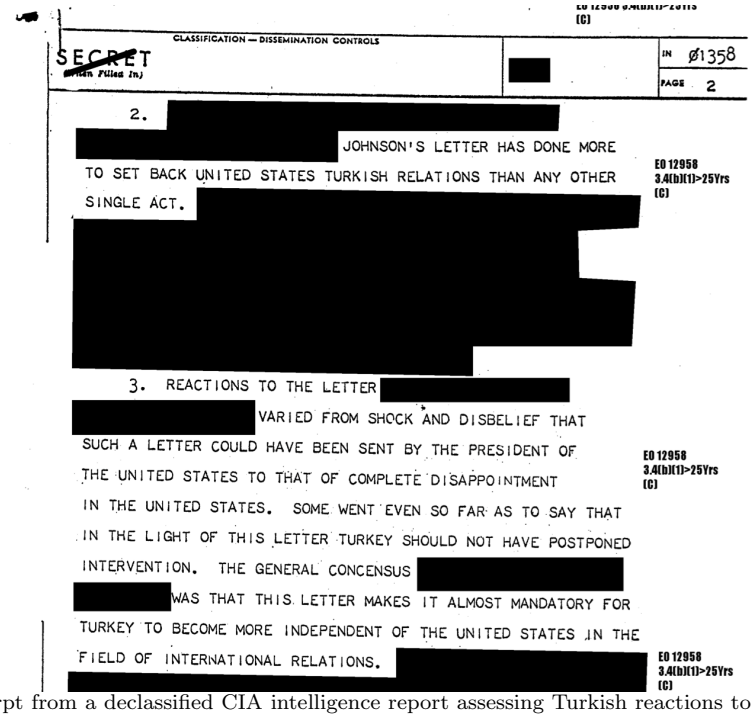


Notes: Each bar shows the GDP-weighted average welfare cost (1948–1989) from a partial counterfactual that removes the indicated subset of geopolitical barriers, computed from equations (24)–(26) with $\varepsilon = 5.03$ and $\beta = -0.185$. "All barriers" replicates the baseline counterfactual (IPD = 0 for all dyads). The three partial scenarios each zero out IPD for a single cross-bloc dyad pair, E-W (the Iron Curtain), W-NA, and E-NA, while holding within-bloc barriers at their observed values. Because within-bloc barriers are never removed, the three partials do not sum to the "All barriers" bar. The gap reflects the omitted within-bloc component and general-equilibrium interaction terms. Bars below zero indicate a welfare *loss* from removing that subset of barriers, reflecting general-equilibrium terms-of-trade effects on the third bloc.

A.14 The Johnson Letter

Figure A.13 reproduces an excerpt from a declassified CIA intelligence report, classified *Secret* at the time of writing, assessing Turkish reactions to President Johnson's June 1964 letter to Prime Minister İnönü. Portions of the document remain redacted under Executive Order 12958. The visible text records that reactions to the letter ranged from shock and disbelief to complete disappointment, with a general consensus that the letter made it almost mandatory for Turkey to pursue greater independence from the United States in the field of international relations, corroborating the interpretation in Section 8.3 that the letter was a discrete political shock with no accompanying formal trade restriction.

Figure A.13: Turkish Reaction to the Johnson Letter


(C)

CLASSIFICATION — DISSEMINATION CONTROLS

SECRET

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PAGE 2

2. [redacted] JOHNSON'S LETTER HAS DONE MORE TO SET BACK UNITED STATES TURKISH RELATIONS THAN ANY OTHER SINGLE ACT. [redacted]

E0 12958 3.4(b)(1)>25Yrs (C)

3. REACTIONS TO THE LETTER [redacted] VARIED FROM SHOCK AND DISBELIEF THAT SUCH A LETTER COULD HAVE BEEN SENT BY THE PRESIDENT OF THE UNITED STATES TO THAT OF COMPLETE DISAPPOINTMENT IN THE UNITED STATES. SOME WENT EVEN SO FAR AS TO SAY THAT IN THE LIGHT OF THIS LETTER TURKEY SHOULD NOT HAVE POSTPONED INTERVENTION. THE GENERAL CONCENSUS [redacted] WAS THAT THIS LETTER MAKES IT ALMOST MANDATORY FOR TURKEY TO BECOME MORE INDEPENDENT OF THE UNITED STATES IN THE FIELD OF INTERNATIONAL RELATIONS. [redacted]

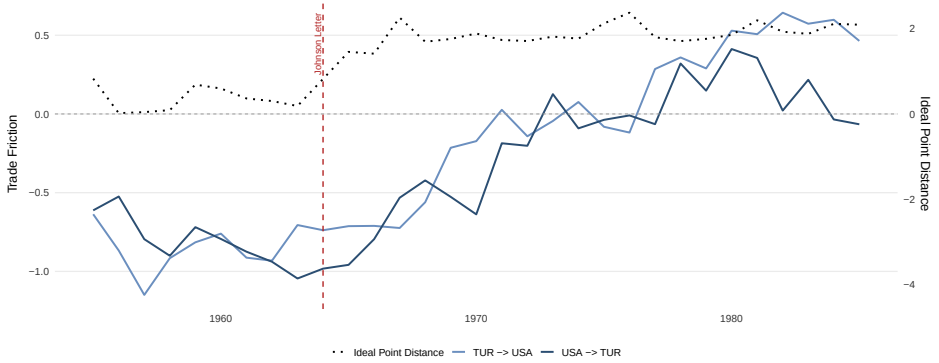
E0 12958 3.4(b)(1)>25Yrs (C)

E0 12958 3.4(b)(1)>25Yrs (C)

Note: Excerpt from a declassified CIA intelligence report assessing Turkish reactions to the Johnson Letter, classified *Secret* at the time of writing. Portions of the document remain redacted under Executive Order 12958.

Figure A.14 plots a second, independent piece of evidence: the dyadic trade friction $\hat{\tau}_{nit}$ implied by a baseline gravity regression along the lines of equation (6), estimated separately in each direction between the United States and Turkey, alongside the ideal point distance between the two countries. Before 1964, both directions of trade friction sit well below their sample average and are roughly flat, consistent with the close Cold War alliance between the two NATO members. From 1964 onward, both directions turn upward and continue rising through the late 1960s and 1970s, tracking the same period over which UN ideal point distance between the two countries also climbs. This co-movement, in the complete absence of any formal trade policy change in either direction, is a second, model-based echo of the synthetic control result in Section 8.3.

Figure A.14: Bilateral Trade Frictions and Political Distance: USA-Turkey



Note: Solid lines (left axis) plot the dyadic trade friction $\hat{\tau}_{nit}$ implied by a baseline gravity regression, shown separately for Turkish exports to the United States (TUR $\rightarrow$ USA) and US exports to Turkey (USA $\rightarrow$ TUR), restricted to 1955-1985. The dotted line (right axis) plots UN ideal point distance between the two countries. The vertical dashed red line marks the year of the Johnson Letter (1964).

Table A.4 reports the five largest donor country weights for each of the four synthetic control specifications underlying Figure 11. The donor composition varies substantially across specifications, reflecting differences in donor pool and matching covariates, but each specification places most of its weight on a small number of countries rather than spreading it evenly across the donor pool.

Table A.4: Top 5 Synthetic Control Weights by Specification

Full Donor Pool	With Covariates	Europe-MENA	Euro-MENA w/o IRQ
YUG (45.2%)	COD (32.5%)	IRQ (66.2%)	ESP (55.7%)
URY (23.3%)	ZWE (24.9%)	ESP (23.8%)	GRC (45.1%)
PAK (14.9%)	TWN (15.8%)	ITA (8.3%)	EGY (2%)
AUS (8.3%)	CHN (9.1%)	EGY (2.6%)	GBR (1.7%)
MYS (7.5%)	PAK (6.6%)	CHE (1%)	CHE (1.5%)

Note: Each column reports the five largest donor country weights for the respective synthetic control specification, with weights in parentheses. The synthetic control is constructed as a weighted combination of donor countries whose pre-1964 bilateral trade with the United States mimics Turkey's pre-letter trajectory, estimated via augmented (ridge) synthetic control (Ben-Michael et al., 2021), as described in Section 8.3.

A.15 Sector/Product Classification Tests

This appendix reports full detail on the five product-classification tests summarized in Section 7.2 and Figure 9. All tests use the USA-partner sample at 2-digit SITC granularity, with revealed comparative advantage (RCA) and product complexity (PCI) recomputed at this granularity from the underlying 4-digit Atlas data. Continuous moderators (RCA, PCI, Rauch's differentiated-good share, Nunn's contract intensity) are demeaned on the estimation sample before interacting with the post-coup dose, so that the uninteracted dose coefficient $\hat{\beta}$ is evaluated at the sample average rather than at the moderator's zero point. A moderator that is a pure, time-invariant function

of the product code alone (Rauch, Nunn) is collinear with the SITC2 product fixed effect and is accordingly omitted as a standalone regressor, only its interaction with the post-coup dose is identified. Standard errors are clustered by dyad throughout.

Revealed Comparative Advantage and Product Complexity. These measures come from the Growth Lab's Atlas of Economic Complexity. RCA follows Balassa's standard formula. Its distribution is extremely right-skewed, with a median of 0.13 and a maximum in excess of 4,000 for hyper-specialized micro-economies, so we use $\log(1 + \text{RCA})$ rather than the raw measure. PCI is the Hidalgo-Hausmann product complexity index, under which high-PCI products are exported mainly by diversified economies that few other countries also export. Both measures are fixed at their pre-coup value. Table A.5 reports the result: the post-coup dose interacted with the partner's own (importer) RCA is negative and significant, trade falls more, and grows more when relations improve, in sectors where the partner itself has a comparative advantage, consistent with a standard trade-cost/integration channel.

Table A.5: Sector-Level Response by Comparative Advantage and Product Complexity

Dependent Variable:	SITC2 Product Trade (USD) USA-partner dyads
Model:	(1)
Variables	
Post × ΔAlignment	-0.203*
	(0.104)
Post × ΔAlignment × log(1+Exporter RCA)	-0.024
	(0.122)
Post × ΔAlignment × log(1+Importer RCA)	-0.362*
	(0.185)
Post × ΔAlignment × Product Complexity	-0.099
	(0.082)
log(1+Exporter RCA)	1.30***
	(0.057)
log(1+Importer RCA)	-0.687***
	(0.154)
Product Complexity	0.279
	(0.252)
Fixed-effects	
Dyad × Coup Event FE	Yes
Year FE	Yes
SITC2 Product FE	Yes
Fit statistics	
Observations	39,259
Pseudo R^2	0.70982

Note: Product-level analogue of equation (16) with Z_p equal to log(1 + RCA) (exporter and importer separately) and PCI, estimated jointly on the USA-partner sample. Clustered (dyad) standard-errors in parentheses. Signif. Codes: ***: 0.01, **: 0.05, *: 0.1.

Rauch (1999) Differentiated-Goods Classification. We use Rauch (1999)'s classification of SITC4 goods as organized-exchange (for example, wheat or copper), reference-priced (for example, certain chemicals and steel products), or differentiated (for example, clothing or machinery), aggregated to a trade-weighted differentiated-good share at the 2-digit level. Table A.6 shows that trade in more differentiated, relationship-dependent sectors falls significantly more as alignment worsens.

Table A.6: Sector-Level Response by Rauch (1999) Differentiated-Goods Share

Dependent Variable:	SITC2 Product Trade (USD)
	USA-partner dyads
Model:	(1)
Variables	
Post × ΔAlignment	-0.228***
	(0.084)
Post × ΔAlignment × Differentiated-Good Share	-0.417*
	(0.230)
Fixed-effects	
Dyad × Coup Event FE	Yes
Year FE	Yes
SITC2 Product FE	Yes
Fit statistics	
Observations	41,868
Pseudo R^2	0.51077

Note: Product-level analogue of equation (16) with Z_p equal to the trade-weighted differentiated-good share, estimated on the USA-partner sample. Clustered (dyad) standard-errors in parentheses. Signif. Codes: ***: 0.01, **: 0.05, *: 0.1.

Nunn (2007) Contract Intensity. We use Nunn (2007)'s industry-level contract-intensity measure, the share of an industry's intermediate inputs that are themselves differentiated, relationship-specific goods. The measure is available for 29 manufacturing ISIC Rev. 3 industries, which we bridge to SITC via the standard UN correspondence tables and then aggregate to the 2-digit level by trade-weighted average. Because the measure is defined only for manufacturing, SITC codes for agriculture, mining, and raw materials have no match and are dropped, so the estimation sample is smaller than Rauch's, which covers all goods. Table A.7 shows the same sign as the Rauch result but a larger standard error, plausibly reflecting this reduced sample and the coarser industry-level (rather than product-level) source of the underlying measure.

Table A.7: Sector-Level Response by Nunn (2007) Contract Intensity

Dependent Variable:	SITC2 Product Trade (USD) USA-partner dyads
Model:	(1)
Variables	
Post × ΔAlignment	-0.184**
	(0.079)
Post × ΔAlignment × Contract Intensity (Nunn)	-0.637
	(0.481)
Fixed-effects	
Dyad × Coup Event FE	Yes
Year FE	Yes
SITC2 Product FE	Yes
Fit statistics	
Observations	39,530
Pseudo R^2	0.50575

Note: Product-level analogue of equation (16) with Z_p equal to trade-weighted contract intensity, estimated on the USA-partner sample, manufacturing only. Clustered (dyad) standard-errors in parentheses. Signif. Codes: ***: 0.01, **: 0.05, *: 0.1.

Broad Economic Categories (BEC): End Use. We use the UN Comtrade SITC Revision 2 — BEC correspondence table, mapped to three end-use categories, Capital goods, Intermediate inputs, and Consumption goods, following the standard BEC basic-class definitions. Each SITC2 group is assigned to its single trade-weighted dominant end-use category, with a mean dominant-category share of 0.89. Because this is a genuine partition rather than a matter of degree, we fully saturate, estimating one post-coup dose coefficient per category with no omitted reference group. Table A.8 shows that the decline is concentrated in Capital goods.

Table A.8: Sector-Level Response by Broad Economic Category End Use

Dependent Variable:	SITC2 Product Trade (USD) USA-partner dyads
Model:	(1)
Variables	
Post × ΔAlignment × Capital Goods	-0.403***
	(0.155)
Post × ΔAlignment × Intermediate Inputs	-0.065
	(0.096)
Post × ΔAlignment × Consumption Goods	-0.279
	(0.175)
Fixed-effects	
Dyad × Coup Event FE	Yes
Year FE	Yes
SITC2 Product FE	Yes
Fit statistics	
Observations	40,243
Pseudo R^2	0.50782

Note: Fully saturated product-level analogue of equation (16), one post-coup dose coefficient per end-use category, no omitted reference group, estimated on the USA-partner sample. Clustered (dyad) standard-errors in parentheses. Signif. Codes: ***: 0.01, **: 0.05, *: 0.1.

Lall (2000) Technological Classification. We use UNCTAD's Lall (2000) classification of SITC Revision 3 goods into Primary, Resource-based, Low-, Medium-, and High-technology manufactures, bridged to SITC2 via the standard UN correspondence table and, as with BEC, assigned by trade-weighted dominant category, with a mean dominant-category share of 0.86. As with BEC, this is a genuine partition, so we again fully saturate. Table A.9 shows a near-monotonic gradient: the post-coup dose coefficient grows more negative moving from Primary goods, statistically indistinguishable from zero, up through High-technology manufactures, the single largest point estimate of any category across all five classifications.

Table A.9: Sector-Level Response by Lall (2000) Technological Classification

Dependent Variable:	SITC2 Product Trade (USD) USA-partner dyads
Model:	(1)
Variables	
Post × ΔAlignment × Primary	0.045
	(0.161)
Post × ΔAlignment × Resource-Based	-0.181
	(0.138)
Post × ΔAlignment × Low Technology	-0.335*
	(0.185)
Post × ΔAlignment × Medium Technology	-0.324**
	(0.133)
Post × ΔAlignment × High Technology	-0.465**
	(0.232)
Fixed-effects	
Dyad × Coup Event FE	Yes
Year FE	Yes
SITC2 Product FE	Yes
Fit statistics	
Observations	40,594
Pseudo R^2	0.51183

Note: Fully saturated product-level analogue of equation (16), one post-coup dose coefficient per technology tier, no omitted reference group, estimated on the USA-partner sample. Clustered (dyad) standard-errors in parentheses. Signif. Codes: ***: 0.01, **: 0.05, *: 0.1.